



Annual Report 2015



Stepping forth to
Greater Heights





Stepping forth to *Greater* Heights

**“You can never really understand
the value of life, until you have made
a difference in someone else’s”**

—Brian M. Cassatta

**At Arpico Insurance we value life, which is
why our focus is on “Insurance for the Living”.**

We have successfully identified and refined the skills needed to develop sustainable growth within our product portfolio, to cover all our client needs.

In doing so, we have gained an in-depth understanding of our customers and in turn been able to give valuable returns to our shareholders, growing stronger while ensuring the stability and future of our organisation, to ultimately step forth to Greater Heights of Success!





Living benefits
for the whole family



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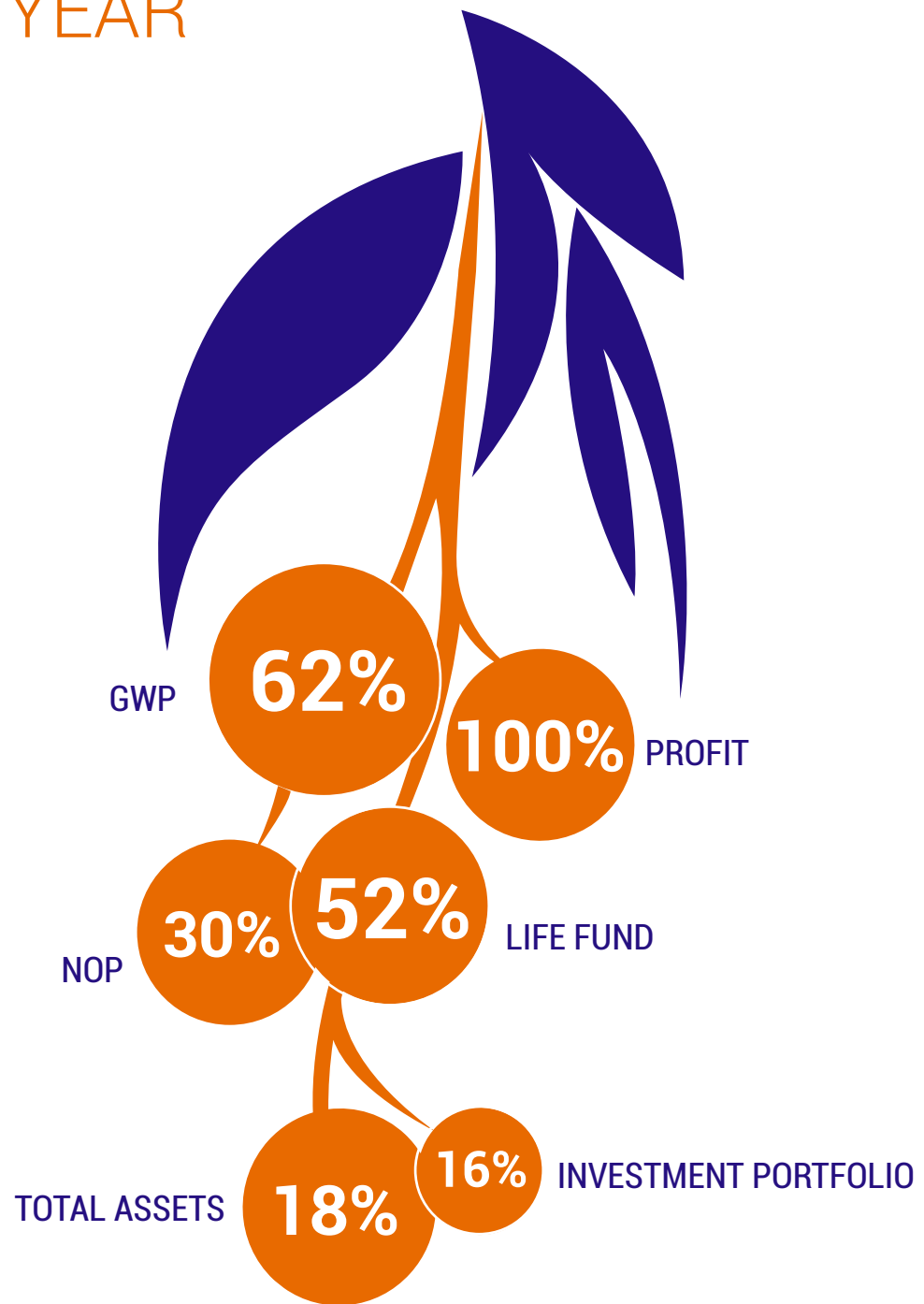
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HIGHLIGHTS OF THE YEAR



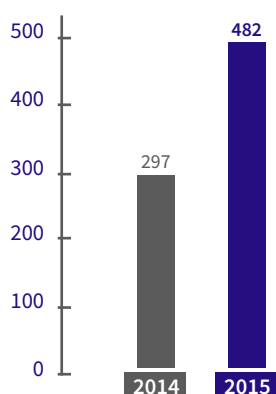
THE COMPANY'S PERFORMANCE

RECORDED EXPONENTIAL GROWTH,

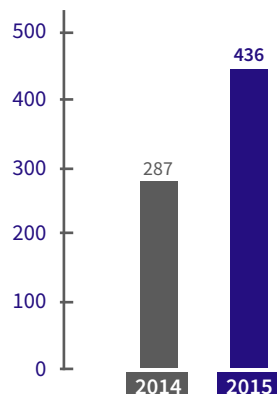
WITH THE GWP REACHING A 62 PERCENT INCREASE TO RS. 482 MILLION AS AGAINST THE RS. 297 MILLION ACHIEVED IN 2014.

	2015	2014	Growth
GWP	482	297	62%
Life fund	436	287	52%
Profit/(Loss)	25	12	100%
NOP	8958	6917	30%
Total Assets	1160	980	18%
Investment portfolio	982	842	16%

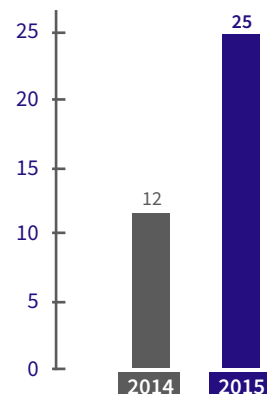
GWP ▲ Mn.



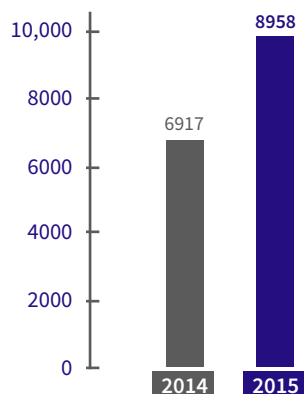
LIFE FUND ▲ Mn.



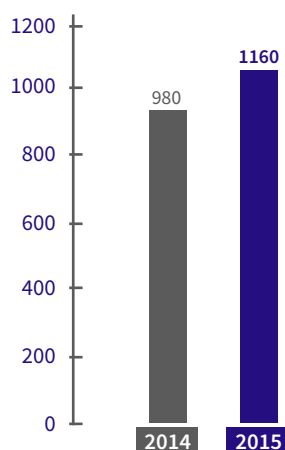
PROFIT(LOSS) ▲ Mn.



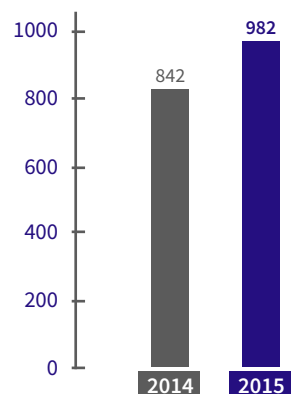
NOP ▲ Mn.



TOTAL ASSETS ▲ Mn.



INVESTMENT PORTFOLIO ▲ Mn.



VISION

To be the most trusted and innovative solutions provider for life insurance needs

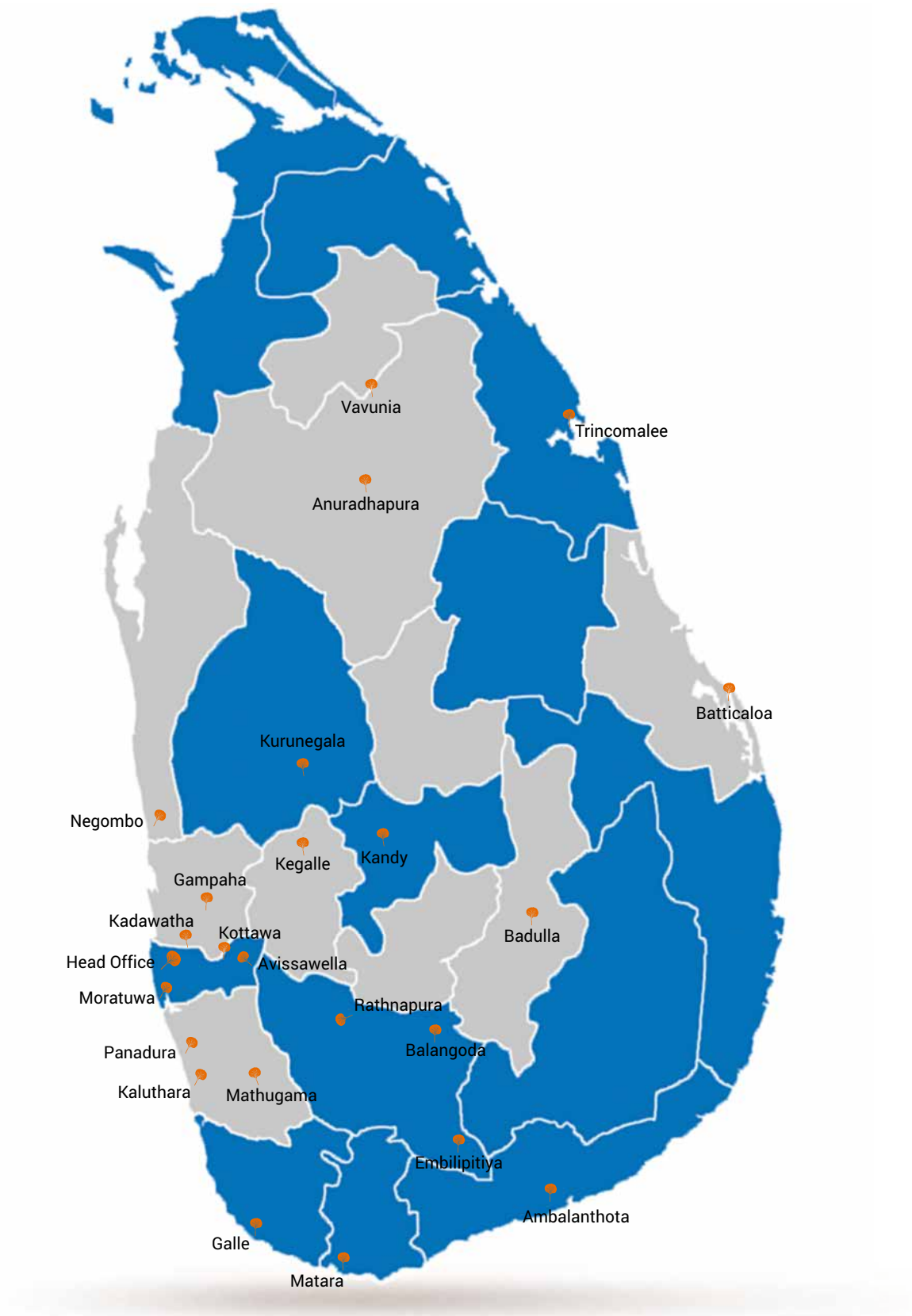
MISSION

Provide unparalleled services to clients through team spirit nourished by passion and developing innovative life insurance solutions, technical expertise, value additions and unique service capability

VALUES OF THE COMPANY

- ♦ To serve customers with care, compassion and respect
- ♦ To do the right thing for the right reason
- ♦ Always think to lead in new ways and introduce result oriented solutions to customers
- ♦ Always nurture and value team spirit along with satisfaction
- ♦ Ensure maintenance of high ethical standard in all professional aspects and practices of the Company

BRANCH NETWORK



KEY MILESTONES

**2011
June**

Incorporated as public limited Company under the name
“Arpico Insurance Limited”

**2011
Oct**

IBSL granted the license to Arpico Insurance to act as a
Life Insurer primarily conducting Life Insurance business in Sri Lanka

**2012
Jan**

Launching of Arpico Insurance and
Commencement of its Operations at the Hyde Park Corner Office

2012

Reached LKR 100 Million GWP in the first year of commercial operations

**2013
July**

Head office shifted to new premises at Vauxhall Lane to facilitate growth

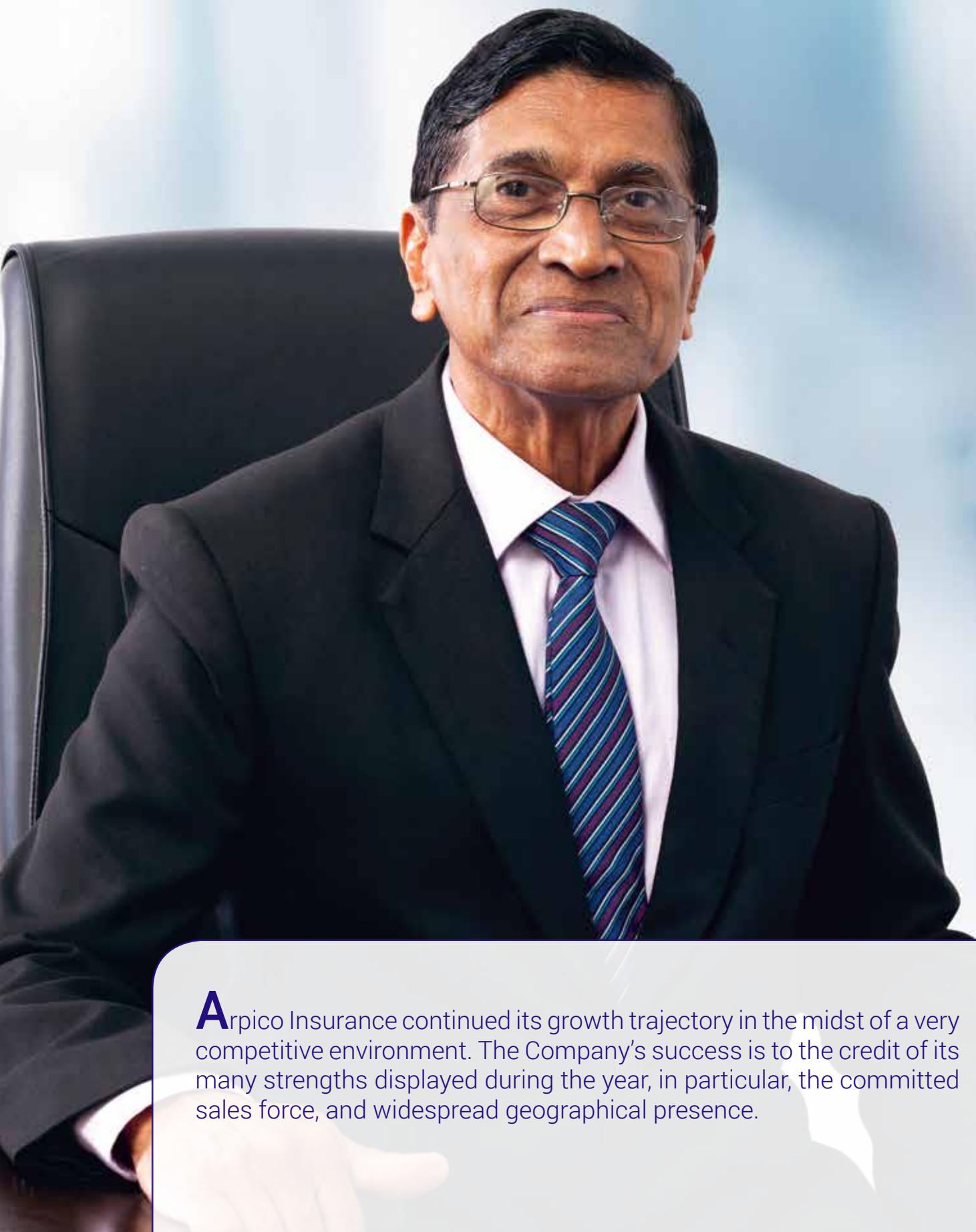
**2014
Dec**

First Life Insurance Company to record a profit in its third year of operation
Initial Public offering of Arpico Insurance shares to public

2015

Started trading on CSE (Dirisavi board)
Increasing the geographical presence to 24 branches

ACTING CHAIRMAN'S MESSAGE



Arpico Insurance continued its growth trajectory in the midst of a very competitive environment. The Company's success is to the credit of its many strengths displayed during the year, in particular, the committed sales force, and widespread geographical presence.

Dear Valued Shareholders,

It is with great pleasure that I present to you the annual report and the audited Financial Statements for the year ended 31st December 2015. Arpico Insurance continued its growth trajectory in the midst of a very competitive environment. The Company's success is to the credit of its many strengths displayed during the year, in particular, the committed sales force, and widespread geographical presence.

The Macro Environment

According to the IMF World Economic Outlook, globally sluggish economic activity continued in 2015. Emerging markets and developing economies continued their decline while accounting for 70 percent of global growth. Conversely, advanced economies experienced signs of recovery. One of the primary transitions that influence these outcomes is the rebalancing of the Chinese economy, moving away from manufacturing to consumption and services. The Sri Lankan economy saw a marginal decline in 2015, recording a growth of 4.8 percent. It was a challenging year of transition for the Sri Lankan economy which reflected the changes in political environment and policies.

Insurance Industry

The potential of Sri Lanka's insurance industry remains largely unrealised as the penetration of life insurance is still very limited. Along with the government's plans to increase per capita income, an even greater longer-term growth potential for life Insurance is to be expected. It is noted that during 2015 the insurance industry recorded a growth of 20 percent in GWP for life insurance to reach Rs. 53.5 billion, as against the same period in the year 2014. Among the many regulatory changes that took place in 2015, the segregation of composite insurers into life and non-life companies that took effect early on, spelled uncertainty. However, the outlook for the Sri Lankan insurance sector remains stable along with aspects such as capital allocation, corporate governance, and better risk management carried out to greater effect.

Performance

Building upon the Company's upwards trajectory at the end of the year 2014, the year under review saw tremendous improvements with a GWP growth of 62 percent. Moreover, Arpico Insurance made a remarkable 100 percent growth in profits to reach Rs. 25 million in 2015 mainly due to the steps taken to increase the Company's reach.

Future Outlook

The Company will continue to focus on its current course with several strategies in place to further strengthen its presence in the industry. One of the key areas of focus is to increase our reach throughout the country and develop a more professional and competent sales force to complement the expansion strategy. The bar is set high for Arpico Insurance with ambitious targets laid out along with plans for more innovative product developments. Another area of focus is to gain leverage through the group synergies to expand the Company's reach and stimulate growth to greater effect.

In Conclusion

I take this opportunity to convey my sincere thanks to all our stakeholders, management team, employees, customers and business partners for their continued commitment. I further wish to acknowledge the Group Chairman and the Board of Directors for their valued support and guidance. I look forward to taking Arpico Insurance to new and greater heights in the industry to continue creating wealth to all our shareholders.



Mr. Viville Perera
Acting Chairman

25 May 2016

CHIEF EXECUTIVE OFFICER'S MESSAGE



As a young and emerging company, considerable focus was given to the growth potential of the company by establishing an expansive network over a period of four years. The company gained great momentum through its reach of 24 physical branches and 28 virtual branches across seven provinces.

Introduction

It gives me great pleasure to present the Annual Report and Statement of Accounts for the year ended 31st December 2015. Arpico Insurance completed its fourth year since its inception on a high note with renewed ambition and focus to continue the remarkable growth phase as a young and upcoming entrant in the industry.

A subsidiary of one of the most diversified and successful conglomerates in the country, Arpico Insurance was established in 2011 as a venture into the country's financial sector. Focusing on offering life-long services, the company primarily delivers a portfolio of products that cater to life insurance needs of the market. The year under, saw the Company further establish its position in the industry, taking a stand apart from competitors with a unique portfolio of products for the living, under the life insurance cover.

The Insurance Industry to date

One of the major changes that took place in the country's insurance industry is the new government regulation that required composite insurance companies to segregate its business into separate companies by February 2015. This however does not impact the operations of Arpico Insurance as our focus and product portfolio are aligned with Life Insurance alone.

In terms of the market penetration, the industry in Sri Lanka is still at its infancy reaching a mere 12.6% in Life Insurance despite there being over 20 licensed companies. There remains a void in Life insurance in particular when compared to General insurance, in terms of awareness on benefits that customers can avail of in the long run. However, along with an increasing purchasing power the industry can look forward to a more discerning clientele provided that awareness is created on the concepts and benefits of Life Insurance.

Overview of the Company Performance

Arpico Insurance leveraged on the advantage of having a well-established brand name, which the Company inherits from its parent company Richard Pieris Group. This advanced the Company's chances to achieve a rapid growth over a short period of four years. The first year alone saw a ground breaking milestone of Rs. 100 million, drawing recognition for the highest GWP by any Life Insurance company in their first year.

This year too, the Company's performance recorded exponential growth with the GWP reaching a 62 percent increase to Rs. 482 million as against the Rs. 297 million achieved in 2014. The Life Fund experienced growth along the same scale with a 56 percent growth accruing Rs. 449 million. The Company's total asset base increased Rs. 1180 million from Rs. 980 million and profits recorded a significant increase of 100 percent with Rs. 25.7 million in 2015.

As a young and emerging company, considerable focus was given to the growth potential of the company by establishing an expansive network over a period of four years. The company gained great momentum through its reach of 24 physical branches and 28 virtual branches across seven provinces.

This expansion would not have realised its full potential without mobilising a competent sales force as well in order to achieve the desired results.

The year's recorded success can be attributed to the collective effort of a committed staff and the continuing customer service of exceptional standards.

Investment Portfolio

Arpico Insurance continued its strategic selection of investment instruments for its investment portfolio consisting of both long-term and short-term instruments. As a result the investment portfolio saw a 16 percent increase to record Rs. 982 million in the year under review.

Stated Capital Solvency

As measures to safeguard the interests of the policy holders, guidelines issued by the Insurance Board of Sri Lanka, are in place to ensure that a minimum stated capital and a solvency margin is maintained. Arpico Insurance adheres to these regulations with figures well over the minimum baseline. Moreover, IBSL is currently taking steps to replace the current rule based solvency framework with Risk Based Capital (RBC), which was initiated in 2009 in preference of a risk sensitive minimum capital regime over the current rules based regime.

Future Outlook

Arpico Insurance will continue to set its sights on establishing a greater reach to drive the Life Insurance penetration in Sri Lanka. To this end, the company will hone its sales force further to effectively deploy and articulate its product portfolio along with the Company's ethos of 'Insurance for the Living'. Along with the enhanced geographical reach, the Company will look to develop innovative products in order to fulfill any life insurance needs in the market.

Appreciation

I wish to express my sincere thanks to the Group Chairman as well as the members of the main board and the board members of the Company. Their guidance and support have been instrumental to the success and confidence the company has gained over the years.

I also convey my warm appreciation of the Management Team and all members of staff, in particular the sales force for their unwavering efforts that make the Company's growth trajectory all the more possible.



Mr. D C Kevitiyagala
Chief Executive Officer

25 May 2016

BOARD OF DIRECTORS



Mr. Viville Perera
Acting Chairman

Mr. Viville Perera is a science graduate from the University of Kelaniya with second class honours and a Fellow Member of The Chartered Institute of Management Accountants and an Associate Member of the Chartered Institute of Marketing, UK. Mr. Perera has over 32 years of experience in the senior managerial capacity at leading business organisations such as Associated Newspapers of Ceylon Limited, Middleway Ltd (Ceylinco Group), Amico Group of Companies and Alliance Finance Co. PLC. He has served at the Sri Lanka Institute of Packaging as Treasurer from 1992 to 1997 and as Vice President from 1999 to 2002. Mr. Perera has been representing the company on the Executive Committee of the Industrial Association of Sri Lanka, an affiliated trade association under the aegis of the Ceylon Chamber of Commerce since 2011. He is also on the Board of Directors of Several Companies of Richard Pieris Group.

Mr. Jagath Dissanayake
Non-Executive Director
(Resigned w.e.f 15 February 2016)

He is an Associate Member of The Institute of Chartered Accountants of Sri Lanka with over 27 years of managerial experience in the fields of accounting, auditing, marketing and operational activities. He has gained extensive experience both overseas and in Sri Lanka. Much of his overseas experience has been at multinationals. He is currently the Group Chief Financial Officer of the Richard Pieris Group.



Mr. S Sirikananathan
Independent Non-Executive Director

Mr. Sirikananathan is a retired partner of KPMG, an international firm of chartered accountants and is presently a sole practitioner under the firm name Sarasiri & Company. He also served on the Boards of Associated News Papers of Ceylon Ltd (ANCL) as Director/Financial Consultant and Bartleet Finance PLC, as Independent Non-Executive Director, Audit Committee Chairman and Remuneration Committee Member.

Mr. Sirikananathan possesses over 40 years of audit experience with KPMG and has engaged in audits of star class hotels, conglomerates, development organisations, multinational banks, finance companies, insurance companies and several listed companies.

Mr. Sirikananathan is a Fellow Member of The Institute of Chartered Accountants of Sri Lanka (FCA) and is also a Fellow Member of the Institute of Certified Management Accountants of Sri Lanka (FCMA). He holds a Bachelor of Science Honours Degree in Physical Science from the University of Peradeniya and has served on the Accounting Standards and Auditing Standards Committee of The Institute of Chartered Accountants of Sri Lanka for eleven (11) and seven (7) years respectively.



Mrs. Lasinee Serasinghe
Independent Non-Executive Director

Mrs. Serasinghe is a Fellow of The Chartered Institute of Management Accountants (UK), Fellow of the Chartered Global Management Accountants and a diploma holder in Computer Programming. Mrs. Serasinghe has garnered over 20 years of regulatory experience serving the Securities and Exchange Commission of Sri Lanka and the Insurance Board of Sri Lanka (IBSL). She took up duties as the Director General of IBSL during a time when IBSL had set up its office independently, and worked at the IBSL until her retirement.

Whilst being the Director General of IBSL, she served as a Board Member of the National Insurance Trust Fund in the capacity of an ex-officio member. Subsequently, she served the Ministry of Finance in the capacity of an advisor for a short period of time. Prior to taking up the post of Director General, IBSL she served the Securities and Exchange Commission as a Director. Mrs. Serasinghe has several years of experience in the field of Finance in the Private Sector prior to her entry into the regulatory arena. She currently functions as a consultant to the private sector and is attached to SSP Corporate Services (Pvt.) Ltd.

CORPORATE MANAGEMENT



Mr. D C Kevitiyagala

Chief Executive Officer
(Resigned w.e.f 15 April 2016)

Mr. Kevitiyagala is an Associate Member of the Chartered Insurance Institute of UK with experience spanning over 36 years in the Insurance industry in both Sri Lanka and overseas. He is also a holder of a Business Development Degree with specialisations in banking, finance and insurance, from the University of Colombo. He is a member of the Mortgage Professional as well.

Mr. E C Perera

Specified Officer

Mr. Perera counts over 33 years of experience in the field of Insurance. He is an Associate Member of the Chartered Institute of Insurance (UK) and a Chartered Insurer.

Mr. T S Kitchilan

Assistant General Manager
Operations
(Resigned w.e.f 31 December 2015)

Mr. Kitchilan counts over 16 years of experience in the Insurance Industry and holds an MSc. in Information Management from SLIIT and a Postgraduate Diploma in Information Management. He is a Fellow of the Institute of Management Specialists, UK and also holds a Diploma in Business Management in addition to the National Diploma in Human Resource Management from the Institute of Personnel Management.

Mr. H E T Sampath

Deputy General Manager
Sales

Mr. Sampath counts over 24 years of experience in the industry. He has completed Agency Management Training Course (AMTC) - LIMRA, Life Underwriter Training Council (LUTC) Diploma in Insurance - LIMRA and Management Skills Course - Institute of Management Studies (IMS).

**Mr. W N C P Nishan**

Deputy General Manager
Sales

Mr. Nishan counts over 23 years of experience in the industry. He has completed (AMTC) - LIMRA, LUTC Diploma in Insurance - LIMRA, and Management Skills Course - IMS.

Mr. M A Doolwala

Financial Controller

Mr. Doolwala counts over 15 years of experience in finance with 11 years committed to the insurance industry. He is an Associate Member of the Chartered Institute of Management Accountants, UK. He also holds a Diploma in Computer Studies from the National Centre for Computing, UK and has completed the Licentiate Exams from Insurance Institute of India.

Tharaka Perera

Assistant General Manager
Technical / Principal Officer

Mr. Perera counts over 18 years of experience in the insurance industry. He is an Associate Member of Chartered Insurance Institute and a Life Fellow Member of Insurance Institute of India. He holds a BSc. in Mathematics and Statistics degree from the University of South Africa and an MBA in Finance from the University of Colombo.





MANAGEMENT DISCUSSION & ANALYSIS

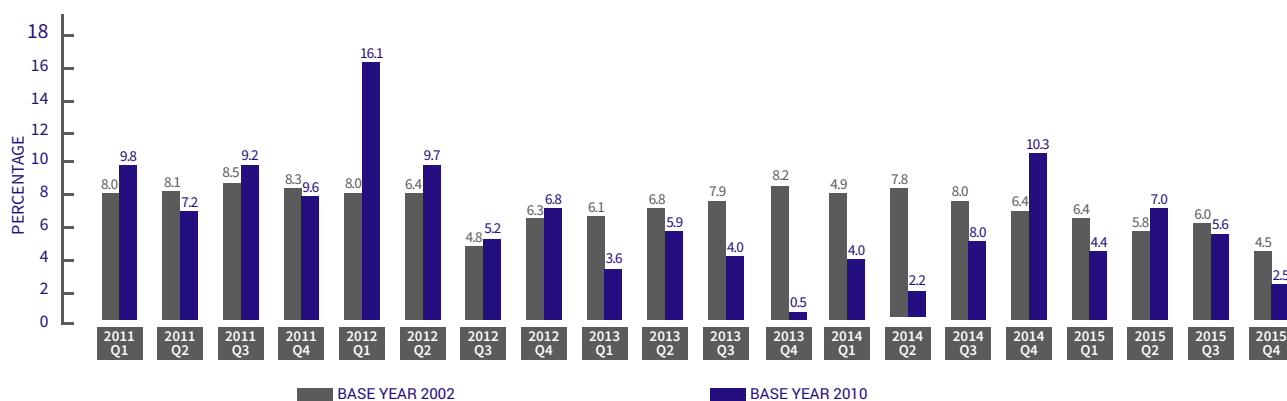


OPERATING ENVIRONMENT

Sri Lankan Economy

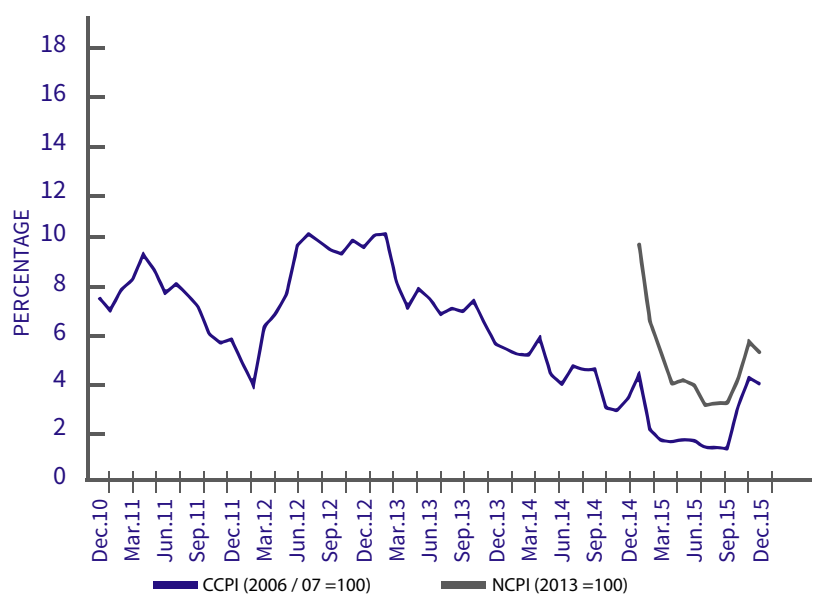
As Sri Lanka aspires to attain an upper middle income status, the economy was faced with a transitional period with changes in policies and regulations along with the changes in political climate. In 2015 Sri Lanka recorded a real economic growth of 4.8 percent declining from the 4.9 percent in the year 2014. The overall impact can be attributed to the decline in traditional export market demands that influenced the export sector while short term capital outflows took place with the strengthening of the US economy. The agriculture, industry and services sectors were the main facilitators in the economic growth of the country. Agriculture and industry grew by 5.5 percent and 5.3 percent respectively while industry-related activities grew by 3.0 percent during 2015.

QUARTERLY REAL GDP GROWTH (YEAR-ON-YEAR) ▲



For the first time since as far back as 1995 the inflation rate reached negative numbers during the period of July - September of 2015. This was primarily as a result of the decline in commodity prices. However, at the end of 2015 inflation was 2.8 percent against the 2.1 percent recorded at the end of 2014.

YEAR-ON-YEAR HEADLINE INFLATION ▲



Interest Rates

Market interest rates remained subdued during 2015 with some upward movement seen at the latter part of the year. In order to address the high volatility of short-term interest rates, the Central Bank reduced its key policy interest rates. Accordingly, the Standing Deposit Facility Rate (SDFR) and the Standing Lending Facility Rate (SLFR) were lowered by 50 basis points to 6.0 percent and 7.5 percent in April 2015. In response to the prevailing relaxed monetary policy approach, the credit extended to the private sector by the banks escalated to a high rate. Towards the end of the year, however, the Central Bank tightened its monetary policy to take effect in January 2016, in view of faster than anticipated expansion of credit and monetary aggregates. The increasing trend in interest rates continued on to the first quarter of 2016 as well reflecting the measures to tighten monetary policy.

The economic environment and changes in policy affected the insurance industry in the year under review. Fluctuating interest rates can influence customers to evaluate other investment modes such as insurance investments. Given that investment income remains one of the primary sources of income for the insurance company, the fluctuating interest rates have a potent effect.

Insurance Industry

As a whole the Services sector grew by 5.3 percent in value added terms in the year under review, in comparison to the 5.2 percent recorded in 2014. The sector experienced a healthy 15.8 percent growth in financial services activities taking advantage of the relaxed monetary policy stance. As a result many service entities including insurance services demonstrated notable growth during 2015. During the year under review, Arpico Insurance saw significant contribution to its financial performance leveraging on the expanding aging population that could avail of retirement and investment plans to a greater degree.

Regulatory policy changes imposed by the Insurance Board of Sri Lanka (IBSL) continued to take effect in the insurance industry during the year under review. There were implementations in relation to the settlement of insurance claims, enhanced customer protection through streamlining business canvassed by insurance agents and risk based solvency margin (risk based capital).

In terms of implementing the Risk Based Capital (RBC) module which was put forth by IBSL in place of the Solvency Regime, Arpico Insurance was able to provide all relevant information for the initial road tests conducted by the Insurance Board of Sri Lanka. In this respect, the Company obtained external Actuarial consultation and is now fully geared to implement the Risk Based Capital framework guidelines. RBC Road Test was initiated by IBSL from the

third quarter of 2012 till the second quarter of 2013 followed by a parallel run to ensure its smooth implementation and to evaluate the impact on individual insurers and the insurance industry. The final RBC Framework released by IBSL is effective from January 2016 for regulatory reporting.

Another notable change introduced to the industry by the IBSL was the segregation of Life Insurance and General Business commencing February 2015 as a move to enhance the risk management capacity. As an outcome of this segregation 15 specialised Life Insurance and 16 General Insurance companies repositioned in the market. Although Arpico Insurance already had its products and services within Life Insurance, the segregation will no doubt create a more focussed competition in the Life Insurance segment.

Our Reach

In view of increasing and consolidating the market share, Arpico Insurance continued its expansion drive in the year 2015. New branches opened including in Kegalle, Kandy and Ambalantota further strengthened the Company's presence across the seven main provinces of the island.

Our Products

Although a mere four years in operation, Arpico Insurance has already cultivated an innovative portfolio of life insurance products and services. Focusing on the 'living' as opposed to the traditional insurance services for cover after death, select products extend opportunities for the policy holder's entire family as well. For instance through the Arpico Super Hospitalisation Reimbursement, benefits extend the coverage to India, Singapore and Malaysia as well.

Furthermore, Arpico Insurance has an array of conventional insurance products such as Arpico Term Insurance Plan, Arpico Endowment Plan, Arpico Relief Plan, Arpico Investment Plan, Arpico Loan Protection plan, Arpico School Fees Plan and Arpico Group Assurance Plan most of which could be customised to suit varying needs of the customers.

Inventive product competencies geared to meet versatile needs within its Life Insurance capacity, serve as the primary contributing factor to the Company claiming the second largest growth rate in 2015.

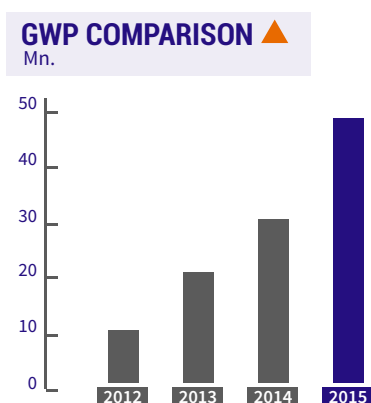
The Road Ahead

In the backdrop of changing monetary policies and new regulations, Arpico Insurance has shown its resilience in adapting to changes. The industry may also be subjected to pending tax proposals revisions in future. Nevertheless, the company will continue its focus on increasing market penetration and expanding its reach to consolidate its presence in Sri Lanka.

FINANCIAL REVIEW

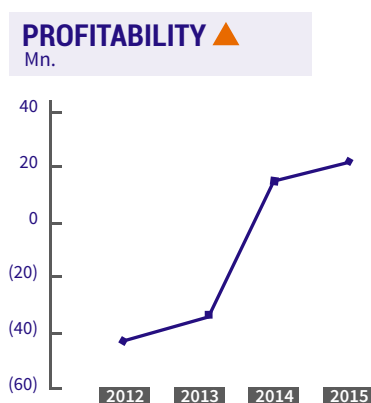
Gross Written Premium

Since recording a groundbreaking Rs. 100 million GWP in 2012, Arpico Insurance has continued its healthy performance streak. In 2015 GWP increased from a 44 percent growth in 2014 to 62 percent in 2015 to record a total of Rs. 482 million. The First Year Premium for the year was Rs. 340 million which was another incremental growth of 52 percent. The Renewal Premium also grew by 99 percent to reach Rs. 133 million placing the Company squarely on a progressive path. The Company's increasing sales force and branch expansion drive are once again the major contributing factors to the acquisition cost. As a result the Net Acquisition Cost reached Rs. 168 million and comprises 37 percent of Net Earned Premium.



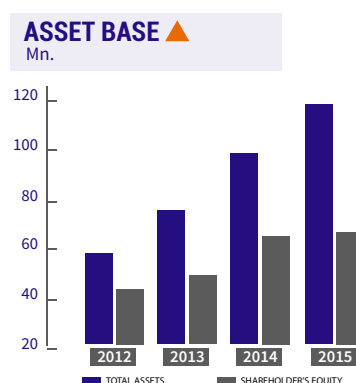
Profitability

As a new entrant among veterans in the industry, Arpico Insurance recovered from its initial teething period of two years to record healthy revenue numbers that are continually bolstered by its GWP. While GWP showed a 62 percent growth in the year under review, profit before tax doubled in the year under review generating Rs. 25 million as at December 2015.



Asset Base

The Total Assets of the Company have steadily grown since 2012, placing the Company in good financial stead with a healthy net value. In the year under review the Total Asset Base grew by 18 percent from Rs. 980 million in the year 2014 to record Rs 1161 million as at December 2015. It must be noted that the 17 percent growth in the Company's investment portfolio at Rs. 982 million in the year under review, made a positive impact on the asset base and on the overall financial health of the company.

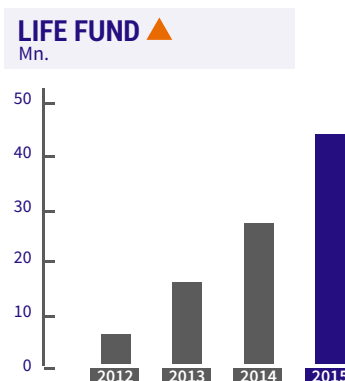


Solvency Margin

As per the regulations issued by IBSL, Arpico Insurance has maintained a secure Solvency Margin in the interest of all the policy holders. Accordingly, in the year under review, the Company generated a solvency margin of 19.

Life Fund

In line with the Company's growth trend the Life Fund too maintained an upward trajectory, a trait that reflects well on the financial integrity of the Company. With a 52 percent growth to reach Rs. 436 million as at December 2015, the Company is well-positioned to fulfill its obligations to all its policyholders.





GOVERNANCE





CORPORATE GOVERNANCE

To ensure long-term sustainability of the company, the Board of Directors of Arpico Insurance PLC is committed towards upholding the highest standards of principles, practices and ethics. Ultimately, having a sound corporate governance framework that ensures accountability and transparency is in the best interest of the shareholder as well as the Company.

Thereby, along with the growth of the company, reviews of the corporate governance framework are continually carried out to ensure adherence to best practices and to improve and adopt ethical principles and practices.

Arpico Insurance's corporate governance practices comply with the requirements stipulated in the Code of Best Practice on Corporate Governance issued jointly by the Institute of Chartered Accountants of Sri Lanka, the Securities and Exchange Commission of Sri Lanka and Listing Rules issued by the Colombo Stock Exchange. The following elucidates the Corporate Governance policies, practices and processes adopted by the Board:

Board of Directors

The Board of Directors collectively and individually provides the required supervision and leadership as mandated in their terms of reference, to ensure the integrity of the company's affairs.

The Board is formed by four directors consisting of two non-executive directors and two independent non-executive directors where the criterion of independence for the independent non-executive directors is assessed by the Board. Brief profiles of individual Directors are set out on pages 14 to 15 in this report and the composition of the Board is illustrated below.

Name of the Director	Non-Executive Director	Independent Non-Executive Director
Mr. Viville Perera	√	
Mr. Jagath Dissanayake (Resigned w.e.f. 15 Feb. 2016)	√	
Mrs. Lasinee Serasinhe		√
Mr. S. Sirikananathan		√

Appointment of Directors

Directors' appointments are regulated by section 29 of the Articles of Association of the Company and consequently an Ordinary Resolution is passed for the authorisation of the appointments.

As per the Regulation of Insurance Industry Act, prior approval from the Insurance Board of Sri Lanka is also obtained for the new appointments.

Meetings of the Board of Directors

During the year under review the board met on a regular basis to assess the ordinary business of the company. In addition, sub-committee meetings were held depending on the requirements. Directors were provided with the Board Papers well in advance so that they may have sufficient time to review the issues to be discussed and to arrive at important decisions. The Company Secretary maintains detailed minutes of the Meetings of the Board of Directors. Minutes are circulated to all Directors in a timely manner for their comments and record.

Board Responsibilities

Functions of the Board

The main functions of the Board are to:

- Direct the business and affairs of the Company.
- Formulate short and long-term strategies, as a basis for the operational plans of the Company and monitor implementation.
- Report on their stewardship to shareholders.
- Identify the principal risks of the business and ensure that adequate risk management systems are in place.
- Ensure internal controls are adequate and effective.
- Approve the annual capital and operating budgets and review performance against budgets.
- Approve the interim and final financial statements of the company.
- Ensure compliance with laws and regulations.
- Sanction all material contracts, acquisitions or disposal of assets.

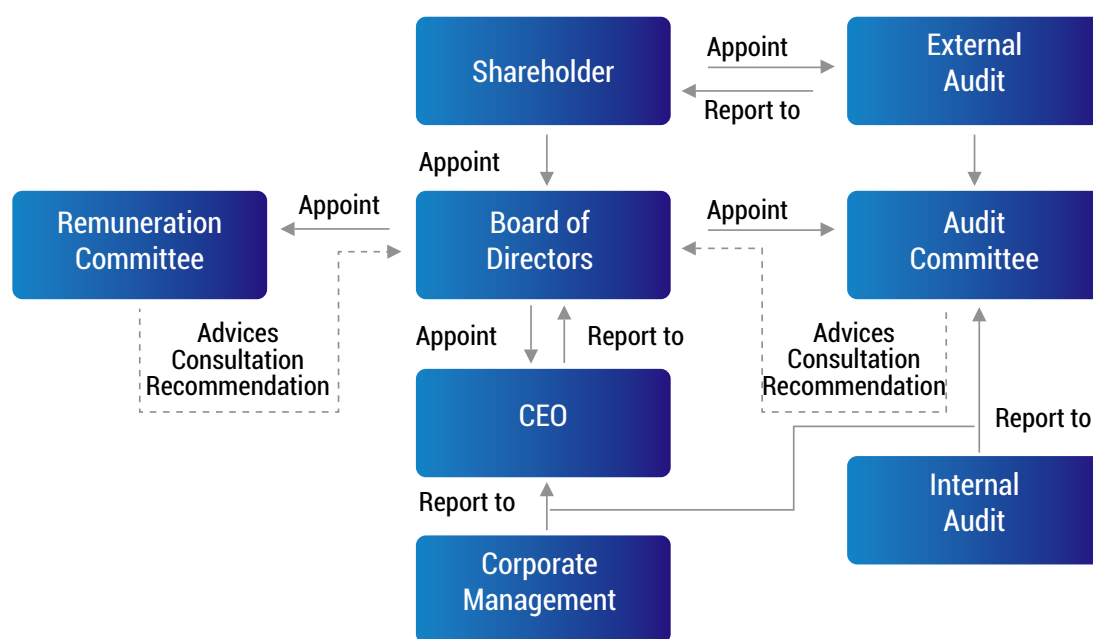
Independent Directors

Mr. S. Sirikananathan and Mrs. L. Serasinhe operate as Independent Non-Executive Directors. Their diverse experience and expertise in commercial, corporate and regulatory activities provide an independent view and judgment to the board.

Corporate Governance Structure

The Corporate governance structure of Arpico Insurance is depicted in the following diagram.

CORPORATE GOVERNANCE



Sub Committees of the Board

The Board is responsible for the performance and the affairs of the Company. The Board performs its supervisory function by delegating the responsibility to sub committees which operates within clearly defined terms of reference. The Board is responsible for establishment, functioning and appointment of members for the sub committees of the Board.

Audit Committee

The Board-appointed Board Audit Committee overlooks the affairs of audit and internal controls of Arpico Insurance. The Audit Committee report on pages 28 to 29 of this report details the activities carried out during the year. The Audit Committee comprising two Independent Directors are given below:

Mr. S Sirikananathan	Independent Non-Executive Director
Mrs. Lasinee Serasinhe	Independent Non-Executive Director

Investment Committee

The Board-appointed Investment Committee overlooks the investment activities of the company. The Committee consists of two Non-Executive Directors and one Independent Non-Executive Director and invites an external consultant for investment committee meetings to obtain expertise pertinent to investments. Members of the investment committee are as follows:

Mr. Viville Perera	Non-Executive Director
Mr. Jagath Dissanayake	Non-Executive Director (Resigned w.e.f 15 Feb 2016)
Mrs. Lasinee Serasinhe	Independent Non-Executive Director

Remuneration Committee

Arpico Insurance is one of the subsidiaries of Richard Peiris and Company PLC. As such, the Remuneration Committee of Richard Peiris and Company PLC acts as the Remuneration Committee for Arpico Insurance. The report of the Remuneration Committee is on page 30 of this report.

Shareholding Structure

Kegalle Plantation PLC is the major shareholder of the company holding 40% of the shares while Richard Pieris Distributors Limited and Richard Pieris And Company PLC holding 27% and 23% respectively. 10% of the shares are held by Public.

Internal Controls

The Board is responsible for instituting on effective internal control system to safeguard the assets of the company and ensure that accurate and complete records are maintained from which reliable information is generated. The system includes all controls including financial, operational and risk management.

Apart from the strategic plans covering a three year time horizon a comprehensive budgetary process is in place where annual budgets, identifying the critical success factors and functional objectives are approved by the Board at the commencement of a financial year and its achievement monitored monthly through a comprehensive monthly management reporting system. Clear criteria and benchmarks have also been set out for the evaluation of capital projects and new investments.

The Internal Audit Division reporting to the Chairman of the Audit Committee regularly evaluates the internal control system across the organisation and its findings are reviewed first by the Audit Committee and significant issues are thereafter reported to the Board. The Board reviewed the internal control procedures in existence to ensure their adequacy and effectiveness.

Compliance

The company is governed by mandatory rules and regulations which are established by Companies Act No. 07 of 2007, Listing Rules of the CSE. Further regulation of Insurance Industry (RII) Act No. 43 of 2000 and subsequent amendments and rules, regulations, directives and circulars issued by the Insurance Board of Sri Lanka (IBSL)

The Board places significant emphasis on strong internal compliance procedures. The Financial Statements of the Company are prepared in strict compliance with the guidelines of the Sri Lanka Accounting Standards (LKAS and SLFRS) and other statutory regulations. Financial Statements are published quarterly in line with the Listing Rules of the Colombo Stock Exchange through which all significant developments are reported to shareholders quarterly. Furthermore Monthly and quarterly returns are prepared and submitted promptly as per the IBSL guidelines. The Board of Directors, to the best of their knowledge and belief, are satisfied that all statutory payments have been made to date.

Going Concern

The Directors have continued to use the 'Going Concern' basis in the preparation of the Financial Statements, after careful review of the financial position and cash flow status of the company. The Board of Directors believes that the company has adequate resources to continue its operations for the foreseeable future.

AUDIT COMMITTEE REPORT

The Audit Committee Charter, approved by the Board of Directors defines the purpose, authority, composition, meetings and responsibilities of the Committee.

Purpose

The purpose of the Audit Committee is to:

- Assist the Board of Directors in fulfilling its overall responsibilities for the financial reporting process.
- Review the system of internal control and risk management procedures.
- Monitor the effectiveness of internal audit function.
- Review the Company's process for monitoring compliance with laws and regulations.
- Assess the independence and performance of the Company's external auditors.
- Make recommendations to the Board on the appointment of external auditors, their remuneration and their terms of appointment.

Composition

The Audit Committee consisted of two Independent Non-Executive Directors namely, Mr. S Sirikananathan – Chairman and Mrs L Serasinhe. Their brief profiles are given on pages 14 to 15 of the Annual Report.

The Company Secretary functioned as secretary to the Audit Committee.

Meetings

The Committee held 6 meetings during the year under review.

The Group Audit Committee Chairman, the Chief Executive Officer, the Finance Manager and the Group Internal Auditors were generally invited to attend audit committee meetings. The key management personnel and the external auditors were invited to attend the audit committee meetings when their presence was considered necessary. Minutes of the meetings were tabled at meetings of the Board to ensure that all Directors were kept informed of the activities.

Internal Audit and Risk Management

The Audit Committee has reviewed and approved the internal audit programme, ensured it covered major operational aspects and monitored the effectiveness of the internal audit. In this regard, the committee reviewed the internal audit findings and management responses thereto and where necessary, recommended corrective actions and monitored implementation.

Internal Controls

During its meetings the Audit Committee reviewed the adequacy and effectiveness of the internal control systems and the Company's approach to its exposure to the business and financial risks. The review also ensured that processes are in place to safeguard the assets of the organisation and that the financial reporting system contemplated was in operation and could be relied upon in the preparation and presentation of Financial Statements. The Committee also noted that monthly comprehensive Financial Review Reports highlighting all key performance criteria were prepared and reviewed by the Management.

Financial Statements and Related Disclosures

The Committee, in line with its responsibility to oversee the Company's process of financial reporting, reviewed the following areas to the extent it deemed necessary and appropriate, in discussion with the external auditors and the management:

- i. Significant financial issues and judgements made in connection with the preparation of the Company's Financial Statements.
- ii. Consistency of the accounting policies and methods adopted and their compliance with the Sri Lanka Financial Reporting Standards (SLFRS/LKAS).
- iii. Requirements of the Companies Act No 07 of 2007 and the Regulation of Insurance Industry Act No 43 of 2000 and amendments thereto.

The Audit Committee has reviewed all Interim Financial Statements and the Annual Financial Statements for the year ended 31st December 2015 before their issuance.

External Auditors

The Audit Committee met with the External Auditors, reviewed the Audited Financial Statements and discussed all matters of relevance and significance.

The Committee ensured that the non-audit services provided by the External Auditors did not impair their independence and objectivity and such services were assigned in a manner to prevent any conflict of interest.

The Audit Committee has recommended to the Board of Directors that Messrs. Ernst and Young be reappointed as Auditors for the financial year ending 31 December 2016 subject to approval of shareholders at the next Annual General Meeting.

Conclusion

The Audit Committee is satisfied that the internal controls and procedures in place for assessing and managing the risks provide reasonable assurance regarding the reliability of financial reporting of the company, that the assets are safeguarded and that all relevant laws, rules, regulations, code of ethics and standards of conduct have been followed.



S. Sirikananathan

Chairman – Audit Committee

Colombo, Sri Lanka.

25 May 2016

REMUNERATION COMMITTEE REPORT

The Remuneration Committee of the Parent Company acted as the Remuneration Committee of Arpico Insurance PLC.

The Remuneration Committee, appointed by and responsible to the Board of Directors, consists of three independent Non Executive Directors, Prof. Lakshman R Watawala, Prof. Susantha Pathirana (Resigned w.e.f 31st March 2015) and Dr. S.A.B. Ekanayake. The Committee is chaired by Prof. Lakshman R Watawala. The Committee met on several occasions during the financial year.

The Remuneration Committee has reviewed and recommended the following to the Board of Directors:

1. Policy on remuneration of the Executive Staff.

The Committee has taken into account the competitive environment in the insurance industry in determining the salary structure.



Prof. Lakshman R. Watawala
Chairman

25 May 2016.

RISK MANAGEMENT

The concept of Risk is an inevitable phenomenon inherent to the business environment. The current dynamic business environment presents businesses with ever-changing risks. This is amplified by the fact that insurance business in essence is involved in accepting the risk of the insured. The Risk Management Process is a key aspect of Arpico Insurance's strategy formulation and is guided by a defined risk management process.

The Board of Arpico Insurance understands the importance of the Risk Management process and is committed to evaluating the Risk Management process on a regular basis. The Risk Management process is supervised by the board level Risk Management and Compliance Committee which are represented by two Independent Non-Executive Directors.

We understand that Risk Management can apply to all levels of the Company and that Risk Management is built in to the operational processors of the Company.

Risk can have both positive and negative impacts on the Company. Going beyond the traditional perception of Risk Management which addresses only the down sides, we believe in taking initiatives to minimise the downsides of risk whilst seeking the upside of risks to the advantage of Arpico Insurance.

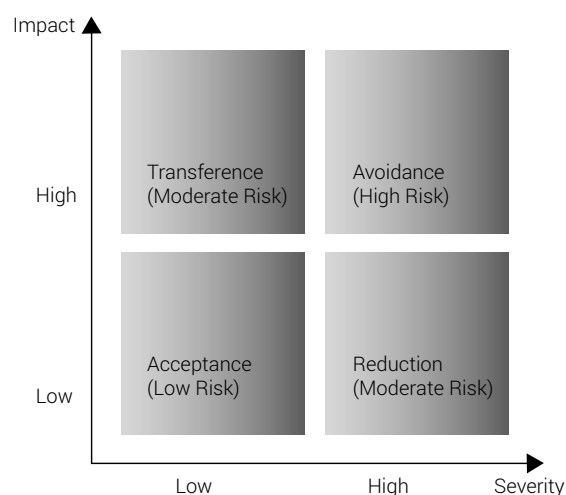


Arpico Insurance critically assesses its internal and external environments to identify the current risks that the company is exposed to and to identify any new risks.

The Company has categorised all the risks it faces into the following broad categories

- Life Insurance Risk
- Re-Insurance Risk
- Credit Risk
- Liquidity Risk
- Market Risk
- Operational Risk
- Compliance Risk

The identified risks are then assessed, and based on the probability and impact, they are mapped in to a grid.



Based on the risk rating, a risk mitigation strategy is laid down for each risk identified. In response to the risk mitigation strategy we continuously monitor the effectiveness of actions taken. Ultimately we review the Risk Management process by evaluating the gross risks with the net risks and document the impact to continue with the sustainable Risk Management cycle.

RISK MANAGEMENT

Risk Category	Risk Description	Risk Rating	Risk Mitigation
Underwriting Risk	This refers to the risk of accepting insurance business. This can result from accepting business with high exposure to claims. This can be due to high death experience than expected (mortality risk), health related claims more than expected (morbidity risk) or policy holder living more than expected (longevity risk).	High	• Strict adherence to underwriting manual • Input taken from reinsurers and consultant actuary in deciding the policy conditional and pricing of products • Only registered laboratories are used when obtaining medical reports and regular monitoring of the services rendered by the laboratories. • Continuous training and development of staff.
Reinsurance Risk	Risk of retaining beyond the Company's capability and the inability of the reinsurer to meet its obligations.	Moderate	• The Company deals with Munich Re which is the no 1 reinsurer in the world. • Board Reviews the re-insurance programme annually • Very close and professional relationship maintained with the reinsurer • No cover is issued without reinsurance backing except for a few plans written on net account basis.
Credit Risk	Credit risk is the risk of financial losses if the counter party fails to honor the payment obligation under a contract.	Moderate	• Corporate debt investments are placed in institutions whose rating is above "BBB+ (lkr) • Strict adherence to investment policy statement in terms of the investments placed • Continued monitoring of the credit worthiness of counter parties.
Liquidity Risk	Inability to meet contractual obligations eg claim payment	Low	• Large proportion of investments held in investments readily tradeable and liquid. • Investment committee continuously monitors the asset liability management aspect of the company.
Market Risk	Impact on the investment portfolio due to changes in the interest rate.	High	• Investment committee reviews the portfolio on a regular basis and decides on investment strategy and future outlook.

Risk Category	Risk Description	Risk Rating	Risk Mitigation
Operational Risk	Operational risk is the risk of loss arising from system failure, human error, fraud or external events. When controls fail to perform, operational risks can cause damage to reputation, have legal or regulatory implications or can lead to financial losses. The Company cannot expect to eliminate all operational risks, but by initiating a rigorous control framework and by monitoring and responding to potential risks, the Company is able to manage the risks.	Moderate	• Development of strategic plan • Responsibility for all levels has been delegated effectively with clear definition. • Through adequate investment done in IT infrastructure under a rigorous control framework and by monitoring and responding to potential risks, the Company is able to manage the risks.
Compliance Risk	Compliance risk is the risk of non-compliance with the laws and regulations. Also this addresses the risk that arises from any changes in laws and regulatory frameworks.	Moderate	• Consistently review and update key regulatory developments to anticipate changes and their potential impact on performance, • Periodically review and improve the Company's existing policies and procedures on compliance. • Periodically review the status of compliance of the Company.





FINANCIAL INFORMATION



ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

General

It is with pleasure that the Directors present their Annual Report to the members, along with the Audited Financial Statements of Arpico Insurance PLC for the year ended 31st December 2015. This report was approved at the board meeting held on 25th May 2016.

The ordinary shares of the company are listed on the Diri Savi Board of CSE.

Principal Activities

The principal activity of the Company constitutes provision of Life Insurance in Sri Lanka. No significant changes were made to the Company's principal activities during the financial year under review. The Company has not engaged in any activities, which contravene laws and relevant regulations.

Vision Mission and Corporate Values

Company's Vision and Mission are provided on Page no 07 of this Annual Report. The Directors ensure that the business activities of the Company are carried out within the framework of objectives outlined in the Vision and Mission and are in conformity with the values of the Company reflecting a commitment to the highest ethical standards and integrity.

Review of Company Performance

Complying with the requirements of the Companies Act, the Chairman's Message, the CEO's review, Review of Operations, Financial Review and Other statements in this Annual Report briefly describe the performance of the Company during the current financial year. These reports form an integral part of the Annual Report of the Board of Directors.

Future Development

The Chairman's Message on page 10 offers an overview of the Company's future developments.

Financial Statements

The Audited Financial Statements that include the Statement of Profit or Loss and Other Comprehensive Income, Statement of Financial Position, Statement of Changes in Equity, Cash flow Statement and Notes to the Financial Statements of the Company for the financial year ended 31st December 2015 on pages 42 to 77 form an integral part of the Annual Report of the Directors.

The financial statements have been prepared in accordance with the Sri Lanka Accounting Standards (SLFRS) laid down by the Institute of Chartered Accountants of Sri Lanka and comply with the Companies Act No 7 of 2007, Regulations of the Insurance Industry Act no 43 of 2000 and other rules and regulations of IBSL and listing rules of CSE.

Auditors' Report

The Auditors' Report can be found on page 41 of this Annual Report.

Auditors

The current Auditors Messrs. Ernst & Young will be considered reappointed as Auditors, at the Annual General Meeting of the Company in terms of Section 158 of the Companies Act No. 07 of 2007. A resolution authorising the Directors to determine their remuneration will be proposed at the Annual General Meeting. Their audit fee for the year is disclosed in note 10 to the Financial Statements. As far as the Directors are aware, the Auditors do not have any other relationship with the Company other than those disclosed in this Annual Report.

Accounting Policies

The Accounting Policies adopted in the preparation of the financial statements are given on pages 47 to 55. There are no significant changes to the accounting policies of the company during the year.

Turnover/Gross Written Premium

The table below gives growth in turnover for the year 2015. Further details on financial performance are given on page 56.

	2015 in '000s	2014 in '000s	Growth
FYP	349,059	230,068	52%
Renewal	133,388	67,371	98%
Total	482,447	297,439	62%

Results

The Company recorded a profit of Rs. 25.7 million for the year. A synopsis of the financial performance is presented below.

	2015 Rs. '000	2014 Rs. '000
Profit/(Loss) Before Tax	25,729	12,987
Income Tax Expense	0	0
Profit/(Loss) After Tax	25,729	12,987

Taxation

The Company does not have income tax liability for the year. Details are disclosed in note 11 to the financial statements.

Property, Plant and Equipment

The book value of Property, Plant & Equipment of the Company stood at Rs. 16.7 million as at the Balance Sheet date. Details are given in Note 13 to the Financial Statements.

Investments

Investments of the Company amounted to Rs. 982 million. Details are given in Note 14 to the Financial Statements.

Stated Capital and Reserves

Stated Capital and Total Equity of the Company as at 31st December 2015 stood at Rs. 675 million and Rs. 647 million respectively. Details for Statement of Changes in Equity are given on page 46.

Human Resources

The Company's Human Resource policy is driven to reach its corporate goals and objectives by inculcating in employees a strong value system and ethics. While the Company is focused on developing employee ability to optimize results, the policies and procedures in place ensure equitable treatment of all employees.

Board of Directors

The Board of Directors of the Company consists of four (04) Directors with wide financial knowledge and experience. The Names of the Directors who held office are given below and their brief profiles appear on pages 14 to 15.

Name of the Director	Status
Mr. W J V P Perera	Non-Executive Director
Mr. N J K Dissanayake	Non-Executive Director
Mr. S Sirikananathan	Independent Non-Executive Director
Mrs. L S A Serasinghe	Independent Non-Executive Director

Directors Interest in Contracts with the Company

Directors' and other Key Management Personnel's interest in transactions of the Company are disclosed in note 30 (b) to the Financial Statements.

The Company maintains an Interest Register in conforming to the provisions of the Companies Act No. 07 of 2007.

Directors' Shareholdings

Shareholdings of the Directors in the Company were as follows:

Name of the Director	2015 No of Shares	2014 No of Shares
Mr. W J V P Perera	Nil	Nil
Mr. N J K Dissanayake	Nil	Nil
Mr. S Sirikananathan	Nil	Nil
Mrs. L S A Serasinghe	Nil	Nil

Directors' Responsibility for Financial Reporting

The Statement of Directors Responsibility is given on Page 39.

Board Sub Committees

The Board whilst assuming responsibility for the management and the smooth running of the company has established subcommittees to ensure effective control over specific functions of the Company. The sub committees consist of the Board Audit Committee, Risk and Compliance Committee and an Investment Committee.

Corporate Governance

The Board acknowledges their responsibility to ensure that the Company complies with good corporate governance practices as set out on pages 25 to 27.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

Statutory Payments

The Directors, to the best of their knowledge and belief are satisfied that all statutory payments due to the government, other regulatory institutions and in relation to the employees have been made on time.

Compliance with Laws and Regulations

The Company has not engaged in any activity against the prevailing laws and regulations. Compliance with the provisions of laws and regulations has been confirmed to the Board of Directors at Board Meetings.

Events after the Balance Sheet Date

Details of events after the balance sheet date are provided in note 32 (page 77) to the Financial Statements.

Going Concern

The Directors have adopted the Going Concern basis in preparing the Financial Statements. They have reviewed the Company's performance and financial standing and are satisfied that it has adequate resources to continue its operations in the foreseeable future.

Annual General Meeting

The Annual General Meeting will be held at the registered office of the company, No 310, Highlevel Road, Nawinna, Maharagama on 29 June 2016. The notice of the Annual General Meeting is on Page 86 of this publication.

For and on behalf of the Board,

25 May 2016



Director
(Viville Perera)



Director
(L. Serasinhe)



Company Secretary
(J. Siriweera)

The Companies Act, No.7 of 2007 places responsibility on the Directors to prepare and present financial statements for each year comprising a balance sheet as at year end date and the statements of income, cash flows and changes in equity for the year together with the significant accounting policies and explanatory notes.

- a) Sri Lanka Accounting Standards, as applicable, have been followed,
- b) Appropriate accounting policies have been selected and applied consistently and they disclose material departures and reasons for departures,
- c) Reasonable and prudent judgments and estimates have been made,
- d) The Companies Act No. 7 of 2007, Regulation of Insurance Industry Act No.43 of 2000 and the Listing Rules of Colombo Stock Exchange have been complied with

The Directors, to the best of their knowledge and belief, are satisfied that all the statutory payments have been settled up to date or accrued in the financial statements.

2 Sinks

25 May 2016

The Directors have a responsibility to ensure that the Company has adequate resources to continue business in the foreseeable future. They, after a comprehensive review of the Company's financial position, have adopted the going concern basis for the preparation of the financial statements.

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ACTUARY'S REPORT



Actuarial & Management Consultants (Pvt) Limited

1st Floor, 434, R.A. De Mel Mawatha, Colombo 03, Sri Lanka. Telephone (94) 112575280 / (94) 112301079 Fax: (94) 112301079

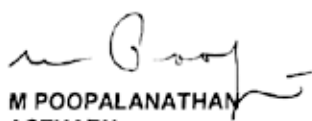
25 May, 2016

To the Shareholders of Arpico Insurance PLC

ACTUARIAL VALUATION OF THE LONG TERM INSURANCE BUSINESS AS AT 31 DECEMBER 2015

We have carried out an actuarial valuation of the Long Term Insurance Business as at 31 December, 2015. We hereby certify that, in our opinion,

- 1) Proper records have been kept by the Company which are appropriate for the purpose of the actuarial valuation of the liabilities of the Long Term Insurance Fund;
- 2) Adequate and proper reserves have been provided as at 31 December, 2015, for all liabilities in respect of the Long Term Insurance Fund, taking into account all current and contingent liabilities as at that date.
- 3) The Long Term Insurance Fund as included in the audited accounts as at 31 December, 2015, exceed the required actuarial reserves as at 31 December 2015 by Rs.33.028 million before allocation of provision for contingencies, provision for solvency margin and any transfer to shareholders.
- 4) The solvency margin required under the Regulation of Insurance Industry Act No.43 of 2000 is Rs.20.158 million, and is fully provided for.


M POOPALANATHAN
ACTUARY

INDEPENDENT AUDITORS' REPORT



Ernst & Young
Chartered Accountants
201 De Saram Place
P.O. Box 101
Colombo 10
Sri Lanka

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eysi@k.ey.com
ey.com

TO THE SHAREHOLDERS OF ARPICO INSURANCE PLC

Report on the Financial Statements

We have audited the accompanying financial statements of Arpico Insurance PLC, ("the Company"), which comprise the statement of financial position as at 31 December 2015, and the statement of profit or loss and other comprehensive income, statement of changes in equity and, cash flow statement for the year then ended, and a summary of significant accounting policies and other explanatory information.

Board's Responsibility for the Financial Statements

The Board of Directors ("Board") is responsible for the preparation of these financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal controls as Board determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Sri Lanka Auditing Standards. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by Board, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the financial position of the Company as at 31 December 2015, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Report on other legal and regulatory requirements

As required by Section 163(2) of the Companies Act No. 7 of 2007, we state the following:

- a) The basis of opinion, scope and limitations of the audit are as stated above.
- b) In our opinion :
 - we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company,
 - the financial statements of the company give a true and fair view of its financial position as at 31 December 2015, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards, and
 - the financial statements of the Company comply with the requirements of Section 151 of the Companies Act No. 07 of 2007

As required by Section 47(2) of the regulation of Insurance Industry Act No. 43 of 2000, as far as appears from our examination, the accounting records of the Company have been maintained in the manner required by the rules issued by the Insurance Board of Sri Lanka, so as to clearly indicate the true and fair view of the financial position of the Company.

25 May 2016
Colombo

Partners: W R H Fernando FCA FCMA M P D Cooray FCA FCMA R N de Saram ACA FCMA Ms. N A De Silva FCA Ms. Y A De Silva FCA W K B S P Fernando FCA FCMA
Ms. L K H L Fonseka FCA A P A Gunasekera FCA FCMA A Herath FCA D K Hulangamuwa FCA FCMA LLB (Lond) H M A Jayasinghe FCA FCMA
Ms. A A Ludowyke FCA FCMA Ms. G G S Manatunga FCA N M Sulaiman ACA ACMA B E Wijesuriya FCA FCMA

A member firm of Ernst & Young Global Limited

INCOME STATEMENT

For the year ended 31 December	Note	2015 Rs.	2014 Rs.
Total revenue	4	548,406,977	363,920,079
Gross written premium	5 (a)	482,447,118	297,439,405
Premium ceded to reinsurers	5 (b)	(21,833,476)	(11,944,255)
Net written premium		460,613,642	285,495,150
Other revenue			
Fees and commission income	6	4,249,018	2,983,134
Investment income	7	78,565,662	73,303,028
Net realised gains		1,477,455	16,342
Other operating revenue		3,501,200	2,122,425
Total other revenue		87,793,335	78,424,929
Net Income		548,406,977	363,920,079
Net insurance benefits and claims paid	8 (a)	(65,985,012)	(41,509,012)
Net change in insurance claims outstanding	8 (b)	(2,224,490)	1,393,393
Underwriting and net acquisition costs	9	(168,286,967)	(121,979,708)
Change in contract liabilities - life fund	23	(155,787,012)	(97,915,660)
Other operating and administrative expenses	10	(130,394,265)	(90,921,865)
Total benefits, claims and other expenses		(522,677,746)	(350,932,852)
Profit before tax		25,729,231	12,987,227
Income tax expense	11(a)	-	-
Profit for the year		25,729,231	12,987,227
Earnings per share - basic	12	0.39	0.22

The accounting policies and notes as set out in pages 47 to 77 form an integral part of these financial statements.

STATEMENT OF COMPREHENSIVE INCOME

Year ended 31 December 2015	Note	2015 Rs.	2014 Rs.
Profit for the year		25,729,231	12,987,227
Other comprehensive income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets	23	(6,639,978)	20,737,232
Fair value movement of AFS reserve transferred to life fund	23	6,639,978	(20,737,232)
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurment gain on defined benefit plan		227,287	64,688
Other comprehensive income for the year, net of tax		227,287	64,688
Total comprehensive income for the year, net of tax		25,956,518	13,051,915

The accounting policies and notes as set out in pages 47 to 77 form an integral part of these financial statements.

STATEMENT OF FINANCIAL POSITION

As at 31 December 2015	Note	2015 Rs.	2014 Rs.
Assets			
Property, plant and equipment	13	16,714,299	15,751,159
Financial assets	14	982,069,704	842,968,366
Loans to life policyholders	15	25,038,597	19,697,180
Reinsurance receivable	16	5,747,323	5,146,884
Amounts due from related party	17	182,801	-
Premium receivable	18	57,886,185	10,575,714
Other assets	19	44,414,243	35,505,225
Cash in hand and at bank	20	28,638,157	51,098,123
Total assets		1,160,691,309	980,742,651
Equity and liabilities			
Shareholders' equity			
Stated capital	22	675,564,870	675,564,870
Retained earnings		(28,312,297)	(54,268,815)
Other component of equity		-	-
Total ordinary shareholders' equity		647,252,573	621,296,055
Liabilities			
Insurance contract liabilities	23	436,177,616	287,030,582
Employee benefit obligation	24	2,648,378	1,754,563
Reinsurance creditors	25	18,314,863	10,529,932
Amounts due to related party	26	120,421	3,702,739
Other financial liabilities	27	45,770,387	44,759,429
Other liabilities	28	10,407,071	6,212,199
Bank overdraft	20	-	5,457,152
Total liabilities		513,438,736	359,446,596
Total equity and liabilities		1,160,691,309	980,742,651

These Financial Statements are prepared in compliance with the requirements of the companies Act No. 07 of 2007.



Financial Controller
(Melanga A. Doolwala)

The Board of Directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.



Director
(W.J. Viville P. Perera)
25 May 2016.
Colombo.



Director
(L. Serasinhe)

The accounting policies and notes as set out in pages 47 to 77 form an integral part of these financial statements.

CASH FLOW STATEMENT

Year ended 31 December 2015	Note	2015 Rs.	2014 Rs.
Cash Flows from Operating Activities			
Premium received from customers		435,136,647	290,908,200
Reinsurance premium paid		(14,048,545)	(10,645,526)
Claims paid		(70,674,915)	(39,981,742)
Reinsurance receipts in respect of claims		600,439	2,487,584
Other operating cash payments		(229,526,902)	(103,211,017)
Cash generated from operating activities	Note A	121,486,724	139,557,497
Tax paid		(5,047,575)	(4,984,134)
Net cash generated from operating activities		116,439,149	134,573,365
Cash flows from investing activities			
Net acquisition of investments		(126,451,633)	(266,450,397)
Purchase of property, plant and equipment	13	(6,990,330)	(8,520,706)
Net cash flows used in investing activities		(133,441,963)	(274,971,103)
Cash flows from financing activities			
Issue of share capital		-	112,564,800
Share issue expenses		-	(1,228,841)
Net cash generated from financing activities		-	111,335,959
Net Increase in cash and cash equivalents	Note B	(17,002,814)	(29,061,779)
A. Reconciliation of operating profit with cash flows from operating activities		2015 Rs.	2014 Rs.
Profit before tax		25,729,231	12,987,227
Depreciation charge		6,027,190	4,040,195
(Increase) / Decrease in reinsurance receivable		(600,439)	233,816
(Increase) / Decrease in premium receivable		(47,310,471)	(6,531,205)
(Increase) / Decrease in policy holders loans		(5,341,417)	(1,942,558)
(Increase) / Decrease in other assets		(8,909,019)	(284,052)
Increase / (Decrease) in life fund		149,147,034	118,652,891
Increase / (Decrease) in creditors		1,623,514	11,780,501
Increase in retirement benefits		1,121,101	750,057
Cash flows from operating activities		121,486,724	139,686,873
B. Increase in cash and cash equivalents			
Cash in hand and at bank		28,638,157	51,098,122
Bank overdrafts		-	(5,457,151)
Net cash and cash equivalents for the current year	20	28,638,157	45,640,971
Net cash and cash equivalents at the beginning of the year		45,640,971	74,702,749
Net increase in cash and cash equivalents		(17,002,814)	(29,061,779)

The accounting policies and notes as set out in pages 47 to 77 form an integral part of these financial statements.

STATEMENT OF CHANGES IN EQUITY

Year ended 31 December 2015	Stated Capital Rs.	Revenue Reserve Rs.	AFS Reserve Rs.	Total Equity Rs.
As at 1 January 2014	563,000,070	(66,091,889)	-	496,908,181
				-
Issue of share capital	112,564,800	-	-	112,564,800
Share issue expenses	-	(1,228,841)	-	(1,228,841)
Profit for the year	-	12,987,227	-	12,987,227
				-
Other comprehensive income	-	64,688	-	64,688
Total comprehensive income	-	13,051,915	-	13,051,915
As at 31 December 2014	675,564,870	(54,268,815)	-	621,296,055
Profit for the year	-	25,729,231	-	25,729,231
Other comprehensive income	-	227,287	-	227,287
Total comprehensive income	-	25,956,518	-	25,956,518
As at 31 December 2015	675,564,870	(28,312,297)	-	647,252,573

The accounting policies and notes as set out in pages 47 to 77 form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

1. CORPORATE INFORMATION

1.1 Reporting entity

Arpico Insurance PLC (formerly known as Arpico Insurance Limited) ("Company") is a limited liability company incorporated and domiciled in Sri Lanka. The registered office of the Company is located at 310, Highlevel Road, Nawinna, Maharagama and the principal place of business is located at No. 55/20, Vauxhall Lane, Colombo 02.

1.2 Principal activities and nature of operations

Company is primarily engaged in carrying out Life Insurance business. There were no significant changes in the nature of the principal activities of the Company during the financial year under review.

1.3 Parent enterprise

The Company's ultimate parent undertaking and controlling party is Richard Pieris & Company PLC which is incorporated in Sri Lanka.

1.4 Date of authorisation for issue

The financial statements of Arpico Insurance PLC for the period ended 31 December 2015 were authorized for issue by the board of directors on 25 May 2016.

2. BASIS OF PREPARATION

2.1.1 Statement of compliance

The financial statements of the Company have been prepared in accordance with Sri Lanka Accounting Standards as issued by the Institute of Chartered Accountants of Sri Lanka. The preparation and presentation of these financial statements are also complying with the requirements of Section 151 (2) of the Companies Act, No.7 of 2007 and the Regulation of Insurance Industry Act, No. 43 of 2000.

2.1.2 Changes in accounting policies

Transfer pricing regulation

The Company is subject to income taxes and other taxes including transfer pricing regulations. Prevailing uncertainties with respect to the interpretation of respective transfer pricing regulations, necessitated using management judgment to determine the impact of transfer pricing regulations. Accordingly critical judgments and estimates were used in applying the regulations in aspects including but not limited to identifying associated undertakings, estimation of the respective arm's length prices and selection of appropriate pricing mechanism. The current tax charge is subject to such judgments. Differences between estimated income tax charge and actual payable

may arise as a result of management's interpretation and application of transfer pricing regulation.

Further details on taxes are disclosed in note 11

The Company Financial Statements include the following components:

- The Statement of Financial Position providing information on the financial position of the Company as at the year-end;
- The Income Statement and Statement of Comprehensive Income providing information on the financial performance of the Company for the year under review;
- The Statement of Changes in Equity depicting all changes in shareholders';
- The Statement of Cash Flows providing information to the users, on the ability of the Company to generate cash and cash equivalents and the needs of entities to utilise those cash flows; and
- Notes to the Financial Statements comprising Accounting Policies and other explanatory information.

2.2 Basis of measurement

The Company Financial Statements have been prepared on the historical cost basis except for the following material items in the Statement of Financial Position:

Item and basis of measurement	Note No.
Available-for-sale financial assets are measured at fair value	14

The Company presents its statement of financial position broadly in order of liquidity. An analysis regarding recovery of settlement within twelve months after the reporting date (current) and more than twelve months after the reporting date (non-current) is presented in the respective notes. No adjustments have been made for inflationary factors affecting the Company Financial Statements.

2.2 Going concern

When preparing the Financial Statements the Directors have assessed the ability of the company to continue as a going concern. The Directors have a reasonable expectation that the company have adequate resources together with sufficient renewing income from customers, to continue in operational existence for the foreseeable future. The company does not foresee a need for liquidation or cessation of trading, taking into account all available information about future. Accordingly, they continue to adopt the going concern basis in preparing the Financial Statements.

NOTES TO THE FINANCIAL STATEMENTS

2.3 Functional and presentation currency

The Financial Statements are presented in Sri Lankan Rupees (LKR), which is the Company's functional currency.

2.4 Use of estimates and judgements

The preparation of financial statements in conformity with Sri Lanka Accounting Standards requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgements about the carrying amount of assets and liabilities that are not readily apparent from other sources.

Estimates and underlying assumptions are reviewed on an on-going basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements is included in the following notes:

(a) Insurance contract liabilities

The liability for Life Insurance contracts with Discretionary Participation Features (DPF) is either based on current assumptions or on assumptions established at the inception of the contract, reflecting the best estimate at the time, increased with a margin for risk and adverse deviation. All contracts are subject to a Liability Adequacy Test (LAT), which reflect management's best current estimate of future cash flows.

The main assumptions used relate to mortality, morbidity, longevity, investment returns, expenses, lapses, surrender rates and discount rates as further detailed in Note 23. For those contracts that insure risk related to longevity, prudent allowance is made for expected future mortality improvements, as well as wide ranging changes to the life style, which could result in significant changes to the expected future mortality exposure.

Estimates are also made for future investment income arising from the assets backing Life Insurance contracts. These estimates are based on current market returns, as well as expectations about future economic and financial developments

Assumptions on future expense are based on current expense levels, adjusted for expected expense inflation, if appropriate. Lapse and surrender rates are based on the Company's historical experience of lapses and surrenders. Discount rates are based on current industry risk rates, adjusted for the Company's own risk exposure.

(b) Valuation of employee benefit obligation – gratuity

The cost of defined benefit plans which is gratuity is determined using actuarial valuations. The actuarial valuation involves making assumptions about discount rates, expected rates of return on assets, future salary increases and mortality rates. Due to the complexity of the valuation, the underlying assumptions and its long term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. Details of the key assumptions used by the actuary in the estimates are contained in Note 24.

(c) Provisions for liabilities and contingencies

The Company receives legal claims against it in the normal course of business. Management has made judgments as to the likelihood of any claim succeeding in making provisions. The time of concluding legal claims is uncertain, as is the amount of possible outflow of economic benefits. Timing and cost ultimately depend on the due process in respective legal jurisdictions.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

3.1 Insurance contracts

Product classification

Insurance contracts are those contracts when the Company (the insurer) has accepted significant insurance risk from another party (the policyholders) by agreeing to compensate the policyholders if a specified uncertain future event (the insured event) adversely affects the policyholders. As a general guideline, the Company determines whether it has significant insurance risk, by comparing benefits paid with benefits payable if the insured event did not occur. Insurance contracts can also transfer financial risk.

Investment contracts are those contracts that transfer significant financial risk and no significant insurance risk. Financial risk is the risk of a possible future change in one or more of a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of price or rates, credit rating or credit index or other variable, provided in the case of a non-financial variable that the variable is not specific to a party to the contract.

Once a contract has been classified as an insurance contract, it remains an insurance contract for the remainder of its lifetime, even if the insurance risk reduces significantly during this period, unless all rights and obligations are extinguished or expire. Investment contracts can, however, be reclassified as insurance contracts after inception if insurance risk becomes significant.

All the products sold by the Company are insurance contracts and therefore classified as Insurance contracts under the SLFRS 4 – Insurance Contracts. Thus, the Company does not have any investment contracts within its product portfolio as at the reporting date.

Actuarial valuation of life insurance fund

The Directors agree to the long term insurance provision for the Company at the year-end on the recommendations of the Independent Consultant Actuary following his annual investigation of the Life Insurance business. The actuarial valuation takes into account all liabilities and is based on assumptions recommended by the Independent Consultant Actuary.

3.2 Property, plant and equipment

3.2.1 Basis of recognition

Property, Plant and Equipment are tangible items that are held for servicing, or for administrative purposes, and are expected to be used during more than one year.

Property, Plant and Equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the Company and cost of the asset can be measured reliably.

3.2.2 Measurement

An item of Property, Plant and Equipment that qualifies for recognition as an asset is initially measured at its cost. Cost includes expenditure that is directly attributable to the acquisition of the asset and cost incurred subsequently to add to or replace a part of it. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to a working condition for its intended use and the costs of dismantling and removing the items and restoring at the site on which they are located.

The Company applies the cost model and records at cost of purchase together with any incidental expenses thereon less accumulated depreciation and any accumulated impairment losses. The Company does not own any property.

3.2.3 Subsequent costs

The cost of replacing a part of an item of Plant and Equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Company and its cost can be measured reliably. The cost of day to day servicing of Property, Plant and Equipment is charged to the Statement.

3.2.4 Repairs and maintenance

Repairs and maintenance are charged to the Statement of Comprehensive Income during the financial period in which they are incurred. The cost of major renovations is included in the carrying amount of the assets when it is probable that future economic benefits in excess of the most recently assessed standard of performance of the existing assets will flow to the Company and the renovation replaces an identifiable part of the asset. Major renovations are depreciated during the remaining useful life of the related asset.

3.2.5 Depreciation

The Company provides depreciation from the date the assets are available for use up to the date of disposal, at the following rates on a straight-line basis over the periods appropriate to the estimated useful lives of the different types of assets.

The estimated useful lives for the current and comparative years are as follows:

Furniture and fittings	5 years
Office equipment	5 years
Computer hardware	4 years

3.2.6 De-recognition

The carrying amount of an item of Property, Plant and Equipment is derecognised on disposal or when no future economic benefits are expected from it. The gain or loss arising from the de-recognition of an item of Property, Plant and Equipment is included in the Statement of Income when the item is derecognised.

3.3 Impairment of non-financial asset

The carrying amounts of the Company's non-financial assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. An impairment loss is recognised if the carrying amount of an asset exceeds its estimated recoverable amount.

NOTES TO THE FINANCIAL STATEMENTS

The recoverable amount of an asset is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets.

Impairment losses are recognized in Statement of Income.

3.4 Financial Assets

3.4.1 Initial recognition and measurement

Financial assets are measured initially at fair value plus, for an item not at fair value through profit or loss, transaction costs that are directly attributable to its acquisition or issue.

At inception a financial asset is classified into one of the following categories:

1. Fair value through profit or loss (FVTPL);
2. Loans and receivables (L&R);
3. Held to maturity investments (HTM); and
4. Available-for-sale (AFS) financial assets, as appropriate.

The Company determines the classification of its financial assets at initial recognition.

The classification depends on the purpose for which the investments were acquired or originated (i.e. intention) and based on the Company's ability.

The Company's existing types of financial assets and their classifications are shown in the table below.

Financial Asset	Category
Treasury bonds	Available for sale
Treasury bills	Available for sale
Repos	Loans and receivables
Corporate bonds	Loans and receivables
Fixed deposits	Loans and receivables
Policy loans	Loans and receivables

3.4.2 Subsequent measurement

(a) Loans and receivables (L&R)

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. The Company also decided to classify unquoted Corporate Debts under this category since there is no active market for these instruments.

These investments are initially recognised at cost, being the fair value of the consideration paid for the acquisition of the investment. All transaction costs directly attributable to the acquisition are also included in the cost of the investment. After initial measurement, loans and receivables are measured at amortised cost, using the EIR, less allowance for impairment.

(b) Available-for-sale financial assets (AFS)

Available-for-sale financial investments include Government Securities, those that are neither classified as held for trading nor designated at fair value through profit or loss.

After initial measurement, available-for-sale financial assets are subsequently measured at fair value, with unrealised gains or losses recognised in Other Comprehensive Income (OCI) in the available-for-sale reserve.

Interest earned whilst holding available-for-sale investments is reported as interest income using the EIR.

If the asset is determined to be impaired, the cumulative loss is recognised in the income statement in the 'Investment Income' and removed from the available-for-sale reserve.

The Company evaluates its available-for-sale financial assets to determine whether the ability and intention to sell them in the near term would still be appropriate. In the case where the Company is unable to trade these financial assets due to inactive markets and management's intention significantly changes to do so in the foreseeable future, the Company may elect to reclassify these financial assets in rare circumstances. Reclassification to loans and receivables is permitted when the financial asset meets the definition of loans and receivables and management has the intention and ability to hold these assets for the foreseeable future or until maturity. The reclassification to held-to-maturity is permitted only when the entity has the ability and intention to hold the financial asset until maturity.

For a financial asset that is reclassified out of the available-for-sale category, any previous gain or loss on that asset that has been recognised in equity is amortised to profit or loss over the remaining life of the investment using the

EIR. Any difference between the new amortised cost and the expected cash flows is also amortised over the remaining life of the asset using the EIR. If the asset is subsequently determined to be impaired then the amount recorded in equity is reclassified to the income statement.

3.4.3 De-recognition

The company derecognises a financial asset when,

- I. The rights to receive cash flows from the asset have expired or
- II. The company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either

(a) The company has transferred substantially all the risks and rewards of the asset, or

(b) The company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset transferred), and the sum of;

(a) the consideration received (including any new asset obtained less any new liability assumed) and

(b) any cumulative gain or loss that had been recognised in other comprehensive income is recognised in profit or loss.

3.4.4 Offsetting

Financial assets and liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Company has a legal right to set off the recognised amounts and it intends either to settle on a net basis or to realise the asset and settle the liability simultaneously.

Income and expenses are presented on a net basis only when permitted under SLFRSs, or for gains and losses arising from a group of similar transactions such as in the Company's trading activity.

3.4.5 Fair value measurement

Fair value is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction on the measurement date.

When available, the Company measures the fair value of an instrument using quoted prices in an active market for that instrument. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis.

If a market for a financial instrument is not active, then the Company establishes fair value using a valuation technique. Valuation techniques include using recent arm's length transactions between knowledgeable, willing parties (if available), reference to the current fair value of other instruments that are substantially the same, discounted cash flow analyses.

If the fair value cannot be measured reliably, these financial instruments are measured at cost, being the fair value of the consideration paid for the acquisition of the investment or the amount received on issuing the financial liability. All transaction costs directly attributable to the acquisition are also included in the cost of the investment.

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price, i.e. the fair value of the consideration given or received, unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument, i.e. without modification or repackaging, or based on a valuation technique whose variables include only data from observable markets. When transaction price provides the best evidence of fair value at initial recognition, the financial instrument is initially measured at the transaction price and any difference between this price and the value initially obtained from a valuation model is subsequently recognised in profit or loss on an appropriate basis over the life of the instrument but not later than when the valuation is supported wholly by observable market data or the transaction is closed out.

3.4.6 Impairment of Financial Asset

The Company assesses at each reporting date whether a financial asset or group of financial assets is impaired. The Company first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a group of financial

NOTES TO THE FINANCIAL STATEMENTS

assets with similar credit risk characteristics and that group of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognised are not included in a collective assessment of impairment.

(a) Assets carried at amortised cost

If there is objective evidence that an impairment loss on assets carried at amortised cost has been incurred, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. The carrying amount of the asset is reduced and the loss is recorded in the Income Statement.

If, in a subsequent period, the amount of the impairment loss decreases and that decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed. Any subsequent reversal of an impairment loss is recognised in the Income Statement, to the extent that the carrying value of the asset does not exceed its amortised cost at the reversal date.

(b) Available for sale financial asset

For available-for-sale financial investments, the Company assesses at each reporting date whether there is objective evidence that an investment or a group of investments is impaired.

In the case of debt instruments classified as available-for-sale, impairment is assessed based on the same criteria as financial assets carried at amortised cost. However, the amount recorded for impairment is the cumulative loss measured as the difference between the amortised cost and the current fair value, less any impairment loss on that investment previously recognized in the income statement.

Future interest income continues to be accrued based on the reduced carrying amount of the asset and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest income is recorded as part of 'Investment Income'. If, in a subsequent year, the fair value of a debt instrument increases and the increase can be objectively related to an event occurring after the impairment loss was recognised in the income statement, the impairment loss is reversed through the income statement.

3.5 Deferred tax

Tax losses incurred are utilized to recognize a deferred tax asset up to the extent of the deferred tax liability arising from taxable temporary differences. Thus no deferred tax asset is recognized in the financial statements as it is not probable that the future taxable profits would be adequate to utilize the available tax losses fully in the foreseeable future.

3.6 Reinsurance contracts

The Company cedes insurance risk in the normal course of business to recognised reinsurers through formal reinsurance arrangements.

Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

Reinsurance is recorded gross in the Statement of Financial Position unless a right to offset exists. Reinsurance assets are reviewed for impairment at each reporting date, or more frequently, when an indication of impairment arises during the reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Company may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Company will receive from the reinsurer. The impairment loss, if any is recorded in the income statement.

Ceded reinsurance arrangements do not relieve the Company from its obligations to policyholders.

Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract.

Reinsurance assets or liabilities are derecognised when the contractual rights are extinguished or expire or when the contract is transferred to another party.

3.7 Premium receivable

Insurance receivables are recognised when due and measured on initial recognition at the fair value of the consideration received or receivable. Subsequent to initial recognition, insurance receivables are measured at amortised cost, using the effective interest rate method. The carrying value of insurance receivables is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the income statement.

Life Insurance premiums (only the premiums due in the 30 day grace period) are recognized at each reporting date and will be reversed if the premiums are not settled during the subsequent month, and thus the policies will be lapsed as per the Company policy.

3.8 Cash and cash equivalents

Cash and Cash Equivalents comprise cash in hand, deposits held at call with banks and other short-term highly liquid financial instruments.

3.9 Insurance contract liabilities

3.9.1 Life insurance contract liabilities

Life insurance liabilities are recognised when contracts are entered into and premiums are charged. These liabilities are measured by using the net premium method as specified by the Insurance Board of Sri Lanka (IBSL) based on the recommendation of the Independent Consultant Actuary. The liability is determined as the sum of the discounted value of the expected future benefits, less the discounted value of the expected future premiums that would be required to meet the future cash outflows based on the valuation assumptions used. The liability is computed based on IBSL specified guidelines and current assumptions which vary based on the contract type.

Furthermore, adjustments are performed to capture the likely liabilities that may arise due to currently lapsed contracts reviving in the future.

3.9.2 Liability adequacy test

As required by the SLFRS 4- Insurance Contracts, the Company performed a Liability Adequacy Test (LAT) in respect of Life Insurance contract liabilities with the assistance of an external qualified actuary. In performing the adequacy test, current best estimates of future contractual cash flows, including related cash flows such as claims handling and policy administration expenses, policyholder options and guarantees, as well as investment income from assets backing such liabilities, are used. If that assessment that the carrying amount of the liabilities (less related assets) is insufficient in light of the estimated future cash flows, the deficiency is recognised in the Statement of Income by creating an additional provision in the Statement of Financial Position.

3.10 Financial liabilities

3.10.1 Initial recognition and measurement

Financial Liabilities within the scope of LKAS 39 are classified as financial Liabilities at fair value through profit or loss or loans and borrowings as appropriate. The company determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings, carried at amortised cost. This includes directly attributable transaction costs.

3.10.2 Subsequent measurement

The measurement of financial liabilities depends on their classification as follows.

(a) Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss.

Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. Gains or losses on liabilities held for trading are recognized in the Statement of Income. The company has not designated any financial liabilities upon initial recognition as at fair value through profit or loss.

(b) Other financial liabilities

Loans and borrowings are carried at amortised cost after initial recognition.

3.10.3 De recognition

A financial liability is derecognized when the obligation under the liability is discharged or cancelled or expires.

NOTES TO THE FINANCIAL STATEMENTS

3.11 Employee benefits

(a) Defined benefit plan – gratuity

Gratuity is a defined benefit plan. The Company is liable to pay gratuity in terms of the payment of gratuity Act No. 12 of 1983, according to which a liability to pay gratuity arises only on completion of 5 years of continued service. In order to meet this liability, a provision is carried forward in the statement of financial position as per Sri Lanka Accounting Standard LKAS 19 Employee Benefits.

The initial cost, the gratuity charge for the period and the gain/loss on change in assumptions after the initial adoption, if any, is included as an expense/income in the statement of income. Gratuity liability was not previously recognized in the financial statements as the company was incorporated in June 2011. The gratuity liability is not externally funded.

(b) Defined contribution plans – employees' provident fund and employees' trust fund

Employees are eligible for Employees' Provident Fund Contribution and Employees' Trust Fund Contributions in line with the respective statutes and regulations. The Company contributes a defined percentage of gross emoluments of employees to an approved Provident Fund and to the Employees' Trust Fund respectively.

3.12 Insurance payables

Insurance payables are recognised when due and measured on initial recognition at the fair value of the consideration received less directly attributable transaction costs. Subsequent to initial recognition, they are measured at amortised cost using the effective interest rate method.

Insurance payables are derecognised when the obligation under the liability is settled, cancelled or expired.

3.13 Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Where the Company expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset, but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the income statement net of any reimbursement. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. Where discounting is used, the increase in

the provision due to the passage of time is recognised as a finance cost.

3.14 Equity movements

3.14.1 Stated capital

The Company has issued ordinary shares that are classified as equity instruments. Incremental external costs that are directly attributable to the issue of these shares are recognised in equity, net of tax.

3.14.2 Dividends on ordinary share capital

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the Company's shareholders. Interim dividends are deducted from equity when they are paid.

Dividends for the year that are approved after the reporting date are dealt with as an event after the reporting date.

3.15 Revenue recognition

(a) Gross premium

Gross recurring premiums on life are recognised as revenue when payable by the policyholder. For single premium business revenue is recognized on the date on which the policy is effective.

(b) Reinsurance premium

Gross reinsurance premiums on insurance contracts are recognised as an expense on the earlier of the date when premiums are payable or when the policy becomes effective. Reinsurance premiums are decided based on rates agreed with reinsurers.

(c) Fees and commission income

Insurance and investment contract policyholders are charged for policy administration services and other contract fees. These fees are recognised as revenue upon receipt or becoming due.

(d) Investment income

Interest incomes for all interest-bearing financial are recognised within 'investment income' in the Income Statement using the effective interest rate method. When a receivable is impaired, the company reduces the carrying amount to its recoverable amount, being the estimated future cash flow discounted at the original effective interest rate of the instrument, and continues unwinding the discount as interest income.

(e) Other income

Other income is recognised on an accrual basis.

3.16 Benefits, claims & expenses recognition

(a) Gross benefits and claims

Gross benefits and claims for life insurance contracts include the cost of all claims arising during the year, including internal and external claims handling costs that are directly related to the processing and settlement of claims. Death claims are recorded on the basis of notifications received.

Changes in the valuation of insurance contract liabilities are disclosed in the statement.

(b) Reinsurance claim recoveries

Reinsurance claims are recognized when the related gross insurance claim is recognized according to the terms of the relevant contract.

(c) Expenses recognition

Expenses are recognised in the statement of income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the statement of income.

3.17 Cash flow statement

The Cash Flow Statement has been prepared using the Indirect Method of preparing Cash Flows in accordance with the Sri Lanka Accounting Standard (LKAS) 7, Cash Flow Statements.

Cash and cash equivalents comprise short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value. The cash and cash equivalents include cash in-hand, balances with banks and short term deposits with banks.

3.18 Standards issued but not yet effective

Certain new accounting standards and amendments/improvements to existing standards have been published, that are not mandatory for 31 December 2015 reporting periods. None of these have been early adopted by the Company.

Sri Lanka accounting standard (SLFRS 9) - financial instruments:

SLFRS 9 replaces the existing guidance in LKAS 39 Financial Instruments: Recognition and Measurement. SLFRS 9 includes revised guidance on the classification and measurement of financial instruments, a new expected credit loss model for calculating impairment on financial assets, and new general hedge accounting requirements. It also carries forward the guidance on recognition and derecognition of financial instruments from LKAS 39.

SLFRS 9 is effective for annual reporting periods beginning on or after 1 January 2018, with early adoption permitted.

Sri Lanka accounting standard (SLFRS 15) – revenue from contracts with customers

SLFRS 15 establishes a comprehensive framework for determining whether, how much and when revenue is recognized. It replaces existing revenue recognition guidance, including LKAS 18 Revenue, LKAS 11 Construction Contracts and IFRIC 13 Customer Loyalty Programmes.

SLFRS 15 is effective for annual reporting beginning on or after 1 January 2018, with early adoption permitted.

NOTES TO THE FINANCIAL STATEMENTS

4.	REVENUE	Note	2015 Rs.	2014 Rs.
	Gross written premium	5 (a)	482,447,118	297,439,405
	Premium ceded to reinsurers	5 (b)	(21,833,476)	(11,944,255)
	Net written premium		460,613,642	285,495,150
	Fees and commission income		4,249,018	2,983,134
	Investment income		78,565,662	73,303,028
	Other operating revenue		3,501,200	2,122,425
	Net realised gains		1,477,455	16,342
	Total revenue		548,406,977	363,920,079
5.	NET WRITTEN PREMIUM		2015 Rs.	2014 Rs.
5.(a)	Gross premiums on insurance contracts		482,447,118	297,439,405
	Total gross written premium		482,447,118	297,439,405
5 (b)	Premium ceded to reinsurers on insurance contracts		2015 Rs.	2014 Rs.
	Conventional policies		21,833,476	11,944,255
	Total premium ceded to reinsurers		21,833,476	11,944,255
	Total net written premium		460,613,642	285,495,150
6.	FEES AND COMMISSION INCOME		2015 Rs.	2015 Rs.
	Policyholder administration fees		4,249,018	2,983,134
	Total fees and commission income		4,249,018	2,983,134
7.	INVESTMENT INCOME		2015 Rs.	2014 Rs.
	Interest income			
	Financial Assets - Available for sale		13,593,364	16,033,353
	Financial Assets - Loans and receivable		64,972,298	57,269,675
	Total investment income		78,565,662	73,303,028

8.	NET BENEFITS AND CLAIMS	2015 Rs.	2014 Rs.
8.(a)	Net insurance benefits and claims paid		
	Gross benefits and claims paid		
	Hospitalization	53,171,773	34,579,007
	Death	852,772	3,316,800
	Surrender payments	11,960,467	5,866,973
		65,985,012	43,762,780
	Claims ceded to reinsurers		
	Hospitalization	-	(2,253,768)
	Death	-	-
		-	(2,253,768)
	Total net insurance benefits and claims paid	65,985,012	41,509,012
8.(b)	Net change in insurance claims outstanding		
	Gross change in contract liabilities		
	Hospitalization	5,396,704	(613,504)
		5,396,704	(613,504)
	Change in contract liabilities ceded to reinsurers		
	Hospitalization	(3,172,214)	(779,889)
	Total net change in insurance claims outstanding	2,224,490	(1,393,393)
	Total net benefits and claims	68,209,502	40,115,619
9.	UNDERWRITING AND NET ACQUISITION COSTS	2015 Rs.	2014 Rs.
	Commission expenses	57,271,218	36,660,503
	Direct marketing cost	111,015,749	85,319,205
		168,286,967	121,979,708
10.	OTHER OPERATING AND ADMINISTRATIVE EXPENSES	2015 Rs.	2014 Rs.
	Employee benefits expense	31,521,313	25,763,425
	Administration & establishment expenses	51,212,279	43,004,133
	Selling expenses	19,528,542	16,014,121
	Depreciation on property and equipment	6,028,196	4,040,195
	Audit and non audit fee including expenses	1,452,000	1,790,000
	Impairment of investment	20,000,000	-
	Other cost	651,935	309,991
	Total other operating and administrative expenses	130,394,265	90,921,865

NOTES TO THE FINANCIAL STATEMENTS

10.(a) Employee benefits expense	2015 Rs.	2014 Rs.
Wages and salaries including bonus & incentives	27,933,028	23,166,118
Contributions to employee benefit obligation plans	831,672	376,912
Employees' provident fund	2,221,492	1,776,193
Employees' trust fund	535,120	444,202
Total employee benefits expense	31,521,312	25,763,425

11. INCOME TAX EXPENSE

The major components of income tax expense for the years ended 31 December 2015 and 2014 are:

11.(a) Current year tax charge	2015 Rs.	2014 Rs.
Income tax	-	-
Total current tax	-	-

11. (b) Reconciliation of tax charge	2015 Rs.	2014 Rs.
Profit before tax	25,729,231	12,987,227
Taxable investment income	50,651,570	73,303,028
Allowable expenses	(267,771,885)	(212,103,742)
Taxable income / (Loss)	(217,120,315)	(138,800,714)
Statutory rate	28%	28%
Tax expense at applicable rate	-	-
Total tax charge for the year	-	-

The company is liable to pay income tax at the rate of 28% of its taxable profits in accordance with the provisions of Inland Revenue Act No. 10 of 2006 and subsequent amendments thereto. There is no income tax expense recognized as Life Insurance does not have an income tax expense so far.

12. EARNING/(LOSS) PER SHARE

Basic earnings per share amount is calculated the net profit for the year attributable to ordinary shareholders of the Company by dividing the weighted average number of ordinary shares outstanding at the reporting date.

	2015 Rs.	2014 Rs.
Profit for the year	25,729,231	12,987,227
Weighted average number of ordinary shares (Nos)	66,230,407	59,302,650
Basic earning per ordinary share Rs	0.39	0.22

	2015	2014
12.1. Weighted average number of ordinary shares		
Ordinary shares at the beginning of the year	66,230,407	56,300,007
Effect of issue of shares for cash consideration	-	3,002,643
	66,230,407	59,302,650

13. PROPERTY, PLANT AND EQUIPMENT

Cost	Office Equipment Rs.	Furniture & Fittings Rs.	Computer Rs.	Total Rs.
As at 1 January 2015	2,589,854	14,595,326	7,478,694	24,663,874
Additions	867,183	4,316,741	1,806,406	6,990,330
As at 31 December 2015	3,457,037	18,912,067	9,285,100	31,654,204
Accumulated depreciation				
As at 1 January 2015	682,675	4,432,480	3,797,560	8,912,715
Depreciation charge for the year	554,759	3,227,421	2,245,009	6,027,190
As at 31 December 2015	1,237,434	7,659,901	6,042,571	14,939,905
Carrying amount				
As at 31 December 2015	2,219,603	11,252,166	3,242,530	16,714,299
As at 31 December 2014	1,907,179	10,162,846	3,681,134	15,751,159

13.1 Acquisition of PPE during the year

During the financial year, the Company acquired property, plant & equipment to the aggregate value of Rs. 6.9 Million (2014 - Rs. 8.5 Million). Cash payments amounting to Rs. 6.9 Million (2014 - Rs. 8.5 Million) were made during the year to purchase of property, plant & equipment.

13.2 PPE pledged as security for liabilities

There were no items of property, plant and equipment pledged as securities for liabilities during the year. (2014 - Nil)

13.4 Temporarily idle property, plant and equipments

There were no temporarily idle property as at the year ended 31st December 2015. (2014 - Nil)

14. FINANCIAL ASSETS

The company's financial instruments are summarised by categories as follows:

	2015 Rs.	2014 Rs.
Loans and receivables	891,819,140	563,119,628
Available-for-sale financial assets	90,250,564	279,848,738
Total	982,069,704	842,968,366

NOTES TO THE FINANCIAL STATEMENTS

The following table consists of the fair values of the financial investments together with their carrying values.

		2015		2014	
		Carrying value Rs.	Fair value Rs.	Carrying value Rs.	Fair value Rs.
Loans and receivables	14 (a)	891,819,140	891,819,140	563,119,628	563,119,628
Available-for-sale financial assets	14 (b)	90,250,564	90,250,564	279,848,738	279,848,738
Total		982,069,704	982,069,704	842,968,366	842,968,366

Available-for-sale investments have been valued at fair value and loans and receivable investments are valued at amortised cost.

14 (a) Loans and receivables

	2015 Rs.	2014 Rs.
Investment in corporate debt	265,605,475	260,069,061
Investment in fixed deposit	124,338,785	64,832,877
Investment in repos	541,874,880	258,217,691
	931,819,140	583,119,628
Provision for impairment	(40,000,000)	(20,000,000)
	891,819,140	563,119,628

14 (b) Available for sale financial assets

	2015 Rs.	2014 Rs.
Treasury bonds	90,250,564	114,440,819
Treasury bills	-	165,407,919
	90,250,564	279,848,738

14 (c) Fair value of financial assets and liabilities not carried at fair value

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the financial statements (i.e., held to maturity and loans and receivables).

Assets for which fair value approximates carrying value

For financial assets and financial liabilities that have a short-term maturity (less than three months), it is assumed that the carrying amounts approximate to their fair value. This assumption is also applied to demand deposits, and savings accounts without a specific maturity. For other variable rate instruments an adjustment is also made to reflect the change in required credit spread since the instrument was first recognised.

Fixed rate financial instruments

The fair value of fixed rate financial assets and liabilities carried at amortised cost are estimated by comparing market interest rates when they were first recognised with current market rates for similar financial instruments. The estimated fair value of fixed interest bearing deposits is based on discounted cash flows using prevailing money-market interest rates for debts with similar credit risk and maturity. For quoted debt issued the fair values are determined based on quoted market prices. For those notes issued where quoted market prices are not available, a discounted cash flow model is used based on a current interest rate yield curve appropriate for the remaining term to maturity and credit spreads.

14 (d) Determination of fair value and fair values hierarchy

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

Level 1: Quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable

Level 3: Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy:

31 December 2015

	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Fair Value Rs.
Available for sale financial assets	90,250,564	-	-	90,250,564
	90,250,564	-	-	90,250,564

31 December 2014

	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Fair Value Rs.
Available for sale financial assets	279,848,738	-	-	279,848,738
	279,848,738	-	-	279,848,738

NOTES TO THE FINANCIAL STATEMENTS

15.	LOANS TO LIFE POLICYHOLDERS	2015 Rs.	2014 Rs.
	Movement of policy loan		
	Balance as at 1st January	17,708,793	16,945,946
	Loans granted during the year	14,960,898	4,970,500
	Repayments during the year	(9,844,250)	(4,207,653)
	Balance as at 31st December	22,825,441	17,708,793
	Interest receivable	2,213,156	1,988,387
	Total loans to life policyholders	25,038,597	19,697,180

- 15.1 The surrender value of the policies for which policy loans have been granted as at 31st December 2015 amounted to Rs. 34.8 Million (2014 Rs. 25.3 Million).

If the total receivable of the loan, including interest due and accrued, exceeds the cash surrender value, the policy terminates and becomes void. The company has a first lien on all policies which are subjected to policy loans. This mitigates the company's credit exposure on policy loans.

The Company grants policy loans at a rate equivalent to the market rate, hence initial recognition is at fair value.

15.2 Impairment Losses on Loans to Life Policyholders

The Board of Directors has assessed potential impairment loss of loans to life policyholders as at 31st December 2015. Based on the assessment, no impairment provision is required to be made in the Financial Statements as at the reporting date in respect of loans to life policyholders.

16.	REINSURANCE RECEIVABLE	2015 Rs.	2014 Rs.
	Reinsurance receivable on outstanding claims	3,886,379	3,725,514
	Reinsurance receivable on settled claims 16.1	1,860,944	1,421,370
		5,747,323	5,146,884
16.1	Reinsurance receivable from Munich Re	1,860,944	1,421,370
		1,860,944	1,421,370

- 16.2 The carrying amounts disclosed above is in respect of the reinsurance of investment contracts approximate fair value at the reporting date.

16.3 Impairment losses on reinsurance receivables

The Board of Directors has assessed potential impairment loss of reinsurance receivables as at 31st December 2015. Based on the assessment, no impairment provision is required to be made in the Financial Statements as at the reporting date in respect of Reinsurance Receivables. Please refer Note No. 29.3 (b) for Reinsurance rating analysis.

17.	AMOUNTS DUE FROM RELATED PARTY		2015 Rs.	2014 Rs.
	Amounts due from related companies	17 (a)	182,801	-
17 (a)	Related party	Relationship		
	Richard Pieris & company PLC	Ultimate Parent	182,801	-
			182,801	-
18.	PREMIUM RECEIVABLE		2015 Rs.	2014 Rs.
	Premium receivable from policy holders			
	Third party		19,540,035	6,995,362
	Related party		38,346,150	3,580,352
			57,886,185	10,575,714
19.	OTHER ASSETS		2015 Rs.	2014 Rs.
	Advances , Deposits & Prepayments		17,846,781	14,253,879
	Taxation receivable		24,112,036	19,064,462
	Inventories		2,455,426	2,186,884
			44,414,243	35,505,225
20.	CASH AND CASH EQUIVALENTS		2015 Rs.	2014 Rs.
	Cash in hand		149,294	88,608
	Cash at bank		16,856,248	43,688,403
	Short term investments		11,632,615	7,321,112
	Favourable cash and cash equivalent balance		28,638,157	51,098,123
	Bank overdraft		-	(5,457,152)
	Total cash and cash equivalent balance		28,638,157	45,640,971

21. FINANCIAL INSTRUMENTS

21.1 Financial assets and liabilities by categories

Financial assets and liabilities in the tables below are split into categories in accordance with LKAS 39.

Financial assets by categories	Loans and receivables		Available-for-sale financial assets	
As at 31 st December	2015 Rs.	2014 Rs.	2015 Rs.	2014 Rs.
Financial investments	891,819,140	563,119,628	90,250,564	279,848,738
Loans to life policyholders	25,038,597	19,697,180	-	-
Premium receivables	57,886,185	10,575,714	-	-
Reinsurance receivable	5,747,323	5,146,884	-	-
Amounts due from related parties	182,801	-	-	-
Cash in hand and at bank	28,638,157	51,098,123	-	-
Total	1,009,312,203	649,637,528	90,250,564	279,848,738

NOTES TO THE FINANCIAL STATEMENTS

Financial liabilities by categories

As at 31 st December

Financial liabilities measured at amortised cost

	2015 Rs.	2014 Rs.
Reinsurance creditors	18,314,863	10,529,932
Amounts due to related parties	120,421	3,702,739
Financial liabilities	45,770,388	44,759,428
Bank overdraft	-	5,457,151
Total	64,205,672	64,449,250

The management assessed that cash and short-term deposits, amount due from related parties, reinsurance receivables, premium receivables, reinsurance creditors, amount due to related parties, financial liabilities and bank overdrafts approximate their carrying amounts largely due to the short-term maturities of these instruments.

22. STATED CAPITAL

Fully paid ordinary shares

	2015		2014	
	Nos	Rs.	Nos	Rs.
At the beginning of the year	66,230,407	675,564,870	56,300,007	563,000,070
Issue of shares for cash consideration	-	-	9,930,400	112,564,800
	66,230,407	675,564,870	66,230,407	675,564,870

23. INSURANCE CONTRACT LIABILITIES

	Notes	2015 Rs.	2014 Rs.
Balance as at 01 January		287,030,582	168,377,690
Change in contract liabilities life fund			
Increase in Life insurance fund before surplus transfer	23 (a)	162,187,012	77,713,481
Surplus transferred from /(to) shareholders		(6,400,000)	20,202,179
Increase in Life insurance fund		155,787,012	97,915,660
Movement in AFS reserve transferred to life fund		(6,639,978)	20,737,232
Balance as at 31 December		436,177,616	287,030,582

23 (a) Increase in life insurance fund before surplus transfer

	2015		
	Gross Insurance Contract Liabilities Rs.	Reinsurance on insurance contract liabilities Rs.	Net Insurance Contract Liabilities Rs.
Premiums received	482,447,118	(21,833,476)	460,613,642
Liabilities paid for death, benefits and claims	(71,381,715)	3,172,214	(68,209,501)
Underwriting and net acquisition costs	(168,286,967)	-	(168,286,967)
Fees (deducted)/received	7,744,179	-	7,744,179
Investment return	39,009,932	-	39,009,932
Net realised gains	1,477,455	-	1,477,455
Other operating and administrative expenses	(110,161,728)	-	(110,161,728)
Year ended 31 December	180,848,274	(18,661,262)	162,187,012

	2014		
	Gross Insurance Contract Liabilities	Reinsurance on insurance contract liabilities	Net Insurance Contract Liabilities
	Rs.	Rs.	Rs.
Premiums received	297,439,405	(11,944,255)	285,495,150
Liabilities paid for death, benefits and claims	(43,149,276)	3,033,657	(40,115,618)
Underwriting and net acquisition costs	(121,979,708)	-	(121,979,708)
Fees (deducted)/received	5,074,756	-	5,074,756
Investment return	37,251,783	-	37,251,783
Net realised gains	16,342	-	16,342
Other operating and administrative expenses	(88,029,223)	-	(88,029,223)
Year ended 31 December	86,624,078	(8,910,598)	77,713,481

INSURANCE CONTRACT LIABILITIES - LIFE

Long duration contract liabilities included in the Life Insurance Fund, result primarily from traditional nonparticipating Life Insurance products. The actuarial reserves have been established based upon the following.

- Interest rates which vary by product and as required by regulations issued by the Insurance Board of Sri Lanka.
- Mortality rates based on published mortality tables adjusted for actual experience as required by regulations issued by the Insurance Board of Sri Lanka.

The valuation of the Life Insurance business as at 31st December 2015 was made by Mr. M Poopalanathan, of M/S Actuarial and Management Consultants (Pvt.) Ltd. In accordance with the Consultant Actuary's report, the reserve for the year amounted to Rs.403,150,000/- In the opinion of the Consultant Actuary, the reserve is adequate to cover the liabilities pertaining to the Life Insurance business.

In the opinion of the Actuary, the Life Insurance Fund as included in the Audited Financial Statements exceeds the required actuarial reserves as at 31st December 2015 by Rs. 33,028,000/- before allocation of provision for contingencies and provision for solvency margin.

Liability adequacy test (LAT)

A Liability adequacy Test ("LAT") for Life Insurance contract liability was carried out by Independent Consultant Actuary Mr. Arunachalam Rajaraman, FIA FIAI FCMA FIII Bsc.(Mathematics), as at 31st December 2015 as required by SLFRS 4 - Insurance Contracts. When performing the LAT, the Company discounted all contractual cash flows and compared this amount with the carrying value of the liability. According to the consultant actuary's report, assets are sufficiently adequate as compared to the discounted cash flow reserves and in contrast to the reserves as at 31st December 2015. No additional provision was required against the LAT as at 31st December 2015.

24. EMPLOYEE BENEFIT OBLIGATIONS	2015 Rs.	2014 Rs.
Gratuity Benefit Obligation		
Balance as at 1 January	1,754,563	1,069,193
Current service cost	954,418	661,849
Interest cost on benefit obligation	166,684	88,209
(Gain)/Loss arising from changes in assumptions	(227,287)	(64,688)
Balance as at 31 December	2,648,378	1,754,563

NOTES TO THE FINANCIAL STATEMENTS

Expense recognised in the income statement		
Interest cost	166,683	88,209
Current service cost	954,418	661,849
Amount recognised in the income statement	1,121,101	750,057

The actuarial valuation for the gratuity liability was carried out as at 31 December 2015, by Mr. Poopalanathan, of M/S Acturial and Management Consultants (Pvt) Ltd.

24.1	Discount rate	9.50%	9.50%
	Future salary increases	8%	8%
	Retirement age	55 years	55 years
24.2	Sensitivity analysis on discounting rate and salary increment rate to Statement of Financial position and Comprehensive Income		

Assumption	Rate change	Impact to financial Position-increment/ (Reduction) of liability	Impact to comprehensive income-charged/ (Reversal)
Discount rate	1%	131,378	131,378
Discount rate	-1%	(142,987)	(142,987)
Salary increment rate	-1%	(149,217)	(149,217)
Salary increment rate	-1%	139,327	139,327

24.3 Maturity profile of defined benefit obligation

	2015 Rs.	2014 Rs.
Less than one year	24,143	-
Between 1-2 years	772,640	98,155.93
Between 3-5 years	880,043	347,577.64
Beyond 5 years	971,552	1,308,829.67
	2,648,378	1,754,563

25.	REINSURANCE CREDITORS	2015 Rs.	2014 Rs.
	Munich Re	16,424,463	10,529,932
	Hannover Re	1,890,400	-
		18,314,863	10,529,932

26.	AMOUNTS DUE TO RELATED PARTY		2015 Rs.	2014 Rs.
	Amounts due from related companies	26 (a)	120,421	3,702,739
26 (a)	Related Party	Relationship		
	Richard Pieris & Company PLC	Ultimate parent	-	1,335,910
	Richard Pieris distributors limited	Fellow subsidiary	120,421	157,029
	Arpitech (pvt) Ltd	Fellow subsidiary	-	209,800
	Arpico ataraxia asset management (Pvt) Ltd	Fellow subsidiary	-	2,000,000
			120,421	3,702,739
27.	FINANCIAL LIABILITIES		2015 Rs.	2014 Rs.
	Agency commission payable		17,308,782	11,330,469
	Accrued expenses		20,577,752	26,251,909
	Claims outstanding		7,883,853	7,177,051
			45,770,387	44,759,429
28.	OTHER LIABILITIES		2015 Rs.	2014 Rs.
	Policyholder advance payments		10,023,801	5,934,846
	Other taxes payable		383,270	277,353
			10,407,071	6,212,199
29.	RISK MANAGEMENT FRAME WORK			

29.1 Overview

The mission of risk management at Arpico Insurance PLC is to promptly identify, measure, manage, report and monitor risks that affect the achievement of strategic, operational and financial objectives. This includes adjusting the risk profile in line with the Company's stated risk tolerance to respond to new threats and opportunities in order to optimize returns.

The Company is exposed to the following risks.

- Insurance Risk
 - Life Insurance contracts
 - Reinsurance
- Financial Risk
 - Credit Risk
 - Liquidity Risk
 - Market Risk
 - Operational Risk

This note presents information about Company's exposure to each of the above risks, the Company's objectives, policies and processes for measuring/managing such risks, and the manner in which the Company manages its capital.

NOTES TO THE FINANCIAL STATEMENTS

29.2 Risk Management framework

a) Governance framework

The primary objective of the Company's risk and financial management framework is to protect the Company's shareholders from events that could hinder the sustainable achievement of financial objectives, including failure to exploit opportunities. The Board of Directors has the overall responsibility for the establishment and oversight of the Company's risk management framework and thus, their approval is necessary for the risk management strategy and risk policies pertaining to all activities of the Company. Further, the Board also ensures that adequate resources, expertise and support are provided for the effective implementation of the risk management strategy, policies and procedures of the Company. Management recognises the paramount importance of having efficient and effective risk management systems in place.

The Company has appointed a Risk Management Committee, comprising members of the senior management from business operations and control functions, which oversees the risk management activities of the Company. The activities cover areas such as the evaluation of business processes, design and implementation of the risk strategy and risk policies, review and updating of the risk profile, delegation of authority, monitoring of risk mitigation activities, etc.

The Board of Directors approves the Company's risk management policies and meets regularly to approve any commercial, regulatory and organisational requirements of such policies. These policies define the Company's identification of risk and its interpretation, limit structure to ensure the appropriate quality and diversification of assets, align underwriting and reinsurance strategy to the corporate goals, and specify reporting requirements.

b) Capital management objectives, policies and approach

The Company has established the following capital management objectives, policies and approaches to manage the risks that affect its capital position:

- To maintain the required level of solvency of the Company, thereby providing a degree of security to policyholders
- To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meets the requirements of its shareholders and policyholders
- To retain financial flexibility by maintaining strong liquidity
- To align the profile of assets and liabilities taking account of risks inherent in the business
- To maintain financial strength to support new business growth and to satisfy the requirements of the policyholders, regulators and other stakeholders
- To maintain healthy capital ratios in order to support its business objectives and maximise shareholders' value

The operations of the Company are subject to regulatory requirements. Such regulations not only prescribe approval and monitoring of activities, but also impose certain restrictive provisions (e.g. Solvency Margin, Approved Assets Requirements of IBSL) to minimise the risk of default and insolvency on the part of the Company to meet unforeseen liabilities as these arise. The Company has been in compliance with all these regulatory requirements throughout the financial year to the best of our knowledge.

Approach to capital management

The Company seeks to optimise the structure and sources of capital to ensure that it consistently maximises returns to the shareholders and policyholders. The Company's approach to managing capital involves managing assets, liabilities and risks in a coordinated way, assessing shortfalls between reported and required capital levels on a regular basis and taking appropriate actions to influence the capital position of the Company in the light of changes in economic conditions and risk characteristics.

The primary source of capital used by the Company is equity shareholders' funds. The capital requirements are routinely forecasted on a periodic basis by the management and the Board. The solvency margins are calculated on a monthly basis and shared with the Board.

c) Regulatory framework

Insurance regulator in the Country, Insurance Board of Sri Lanka (IBSL) is primarily interested in protecting the rights of policyholders and monitors the Company closely to ensure that it is satisfactorily managing affairs for the benefit of policyholders. At the same time, they are also interested in ensuring that the Company maintains an appropriate solvency position to meet unforeseen liabilities arising from economic shocks, natural disasters, etc.

Thus, the operations of the Company are subject to regulatory requirements of the IBSL as well as various other regulators such as Central Bank of Sri Lanka (CBSL), Department of Inland Revenue etc. The Company is also regulated by the Companies Act No. 07 of 2007.

29.3 Insurance risk

The principal risk the Company faces under insurance contracts is that the actual claims and benefit payments or the timing thereof, may differ from expectations. This is influenced by the frequency of claims, severity of claims, actual benefits paid and subsequent development of long-term claims. Therefore, the objective of the Company is to ensure that sufficient reserves are available to cover these liabilities.

The risk exposure is mitigated by diversification across a large portfolio of insurance contracts and geographical areas. The variability of risks is also improved by careful selection and implementation of underwriting strategy guidelines, as well as the use of reinsurance arrangements.

(a) Life insurance risk

Life insurance contracts offered by the company include endowment plans and term assurance and non-conventional products.

Endowment assurance are conventional products where lump sum benefits are payable on death / permanent disability or maturity whichever happens earlier.

Term assurance are conventional products where lump sum benefits are payable on death or permanent disability.

The main risk that the company is exposed to under Life Insurance Contracts are as follows.

- Mortality risk is the risk that actual policyholder death experience on life insurance policies is higher than expected.
- Morbidity risk is the risk that policyholder health-related claims are higher than expected.
- Longevity risk is the risk that annuitants live longer than expected.
- Investment return risk is the risk that actual returns lower than expected.
- Expense risk is the risk that expenses incurred in acquiring and administering policies are higher than expected.
- Policyholder behavior risk is the risk that policyholders' behavior in discontinuing and reducing contributions or withdrawing benefits prior to the maturity of the contract is worse than expected. Poor persistency rates may lead to fewer policies remaining on the books to defray future fixed expenses and therefore reduce the future positive cash flows from the business written, potentially impacting its ability to recover deferred acquisition expenses.
- Market risk is the risk that associated with the variation of investment income due to the changes in the financial markets.
- Credit risk is the risk that resulting from counterparties failing to fulfill the financial obligations.

NOTES TO THE FINANCIAL STATEMENTS

The company's underwriting strategy is designed to ensure that risks are well diversified in terms of type of risk and level of insured benefits. This is largely achieved through the use of medical screening in order to ensure that pricing takes account of current health conditions and family medical history, regular review of actual claims experience and product pricing. Underwriting limits are in place to enforce appropriate risk selection criteria. For example, the company has the right not to renew individual policies, it has the right to reject the payment of fraudulent claims.

The company further enforces a policy of actively managing and promptly pursuing claims, in order to reduce its exposure to unpredictable future developments that can negatively impact the company. For contracts for which death or disability is the insured risk, the significant factors that could increase the overall frequency of claims are epidemics, widespread changes in lifestyle and natural disasters, resulting in earlier or more claims than expected. The Company limits exposure on any single life by way of retention limits agreed with the reinsurers.

Some of the specific actions by the Company to mitigate Life Insurance Risks are shown below.

Life underwriting Risk Management

- Maximum input is obtained from the Consultant Actuary and Reinsurer in deciding on the terms and conditions of products in order to ensure that products are adequately priced.
- Only registered laboratories are used when obtaining medical reports and regular visits are made by the management to such laboratories to monitor the quality of service.
- Focused training is provided to Insurance Advisors on proper selling in Sinhala, Tamil and English.
- A proposal form with Customer Need Analysis is used to identify customers' requirements and sell the most appropriate policy.

Life claims Risk Management

- An Independent Actuary is engaged to carry out a valuation of the Life Fund twice a year.
- Claims are reserved immediately at the intimation or on the availability of information of the death or injury of an insured.
- The Claims Panel (comprising CEO, Assistant Manager – Life Insurance and Head of Finance) is involved in taking decisions on significant/ problematic claims and appeals made in respect of claims.

(b) Reinsurance risk

The Company's objectives for purchasing reinsurance are to provide market-leading capacity for customers while protecting the balance sheet and optimizing the Company's capital efficiency. Reinsurance ceded is placed on a proportional basis. A proportional reinsurance arrangement includes both Quota Share and Facultative Treaty programmes which is taken out to reduce the overall exposure of the Company to certain classes of business. Premium ceded to the reinsurers is in accordance with the terms on the programmes already agreed based on the risks written by the insurance companies.

Recoveries from reinsurers on claims are based on the cession made in respect of each risk and is estimated in a manner consistent with the outstanding claims provisions made for the loss. Although we mitigate our exposures through prudent reinsurance arrangements, the obligation to meet claims emanating from policyholders rests with the Company. Default of reinsurers does not negate this obligation and in that respect the Company carries a credit risk up to the extent ceded to each reinsurer.

The Company's placement of reinsurance is arranged in a manner that is neither dependent on a single reinsurer nor substantially dependent upon any single reinsurance contract. The Company uses Munich Re as its reinsurance provider for individual policies as well as for group policies. The company also uses Hannover Re in certain cases.

Credit ratings of the reinsurance companies with whom the Company has arrangements.

Reinsurer	Rating	Rating Agency
Munich Re	AA-	A.M. Best
Hannover Re	AA-	A.M. Best

Some of the specific actions by the company to mitigate reinsurance risks are shown below:

- Outstanding reinsurance receivables are reviewed on a monthly basis to ensure that all dues are collected or set off against payables on time.
- A very close and professional relationship is maintained with all reinsurers.
- No cover is issued without a confirmed reinsurance in place.
- Only a globally trusted and stable portfolio of reinsurance companies which are rated highly by Standard & Poors or AM Best is used.

29.4 Credit risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss to the other party by failing to discharge an obligation. The Company's credit risk could mainly arise from financial assets such as its investment portfolios, premium receivables from policyholders, receivables from reinsurers, loans given to policyholders and cash and cash equivalents etc.

Credit exposure

Company's exposure to credit risk as at the Balance Sheet date is given in below table with the comparative figures and has been derived as per the company risk management policy of using the carrying values in the statement of financial position.

As at 31 December	2015 Rs '000	% of Allocation	2014 Rs '000	% of Allocation
Financial investments				
Debt securities - Loans and receivables	891,819	81.10	563,120	60.58
Debt securities - Available for sale	90,251	8.21	279,849	30.11
Total debt securities	982,070	89.31	842,969	90.69
Life policyholders loans	25,039	2.28	19,697	2.12
Reinsurance receivable	5,747	0.52	5,147	0.55
Amounts due from related party	183	0.03	-	-
Premiums receivable	57,886	5.26	10,576	1.14
Cash in hand and at bank	28,638	2.60	51,098	5.50
Total credit risk exposure	1,099,563	100.00	929,486	100.0

As of December 31 2015 the largest credit risk exposure of 89% (2014 - 91%) is arising from investments in debt securities

NOTES TO THE FINANCIAL STATEMENTS

Credit risk - financial investments in debt securities

Company limits its exposure to credit risk by analysing the creditworthiness of each debt security investment. The credit worthiness of a potential debt security investment is assessed mainly through ratings assigned to the issuing institution or the ratings assigned to an issue. The debt security investments are broadly categorised into investments in government securities and investments in corporate debt securities.

As at 31 December	2015 Rs '000	% of allocation	2014 Rs '000	% of allocation
Financial investments				
Government securities and related institutions	632,126	62	538,066	62
Corporate debt securities	265,605	26	260,069	30
Deposits	124,339	12	64,833	8
Total debt securities	1,022,070	100	862,968	100

(i) Government securities

As shown in table above, as at 31 December 2015, 62% (2014- 62%) of debt securities comprise investments in government securities comprising treasury bonds, bills and repo investments. Government securities are usually referred to as risk free due to the sovereign nature of the instrument.

(ii) Corporate debt securities

As at 31 December 2015, corporate debt securities comprise 26% (2014-30%) of the total investments in debt securities, out of which 87% (2014 – 100%) were rated "A-" or better

Corporate debt security allocation 2015 vs 2014 - credit rating wise

As at 31 December	2015		2014	
Rating	Rs. '000	% of total	Rs. '000	% of total
AA+ AA-	126,837	57	149,354	68
A+ A-	68,401	30	70,719	32
BBB BB-	30,367	13	-	-
Not rated *	-	-	-	-
Total	225,605	100	220,073	100

* Comprises Rs 195 Million (2014 - 220 Million) with an issuer rating above "A-".

(iii) Concentration risk of corporate debt securities

Company actively manages its investment mix to ensure that there is no significant concentration of credit risk.

Credit risk relating to loans to life policyholders

A loan issued by an insurance company considers the surrender value of the life policy as collateral. As at the balance sheet date, the value of policy loans granted amounted to Rs. 25 million (2014 - 19 million) and its related surrender value is Rs. 34.8 million (2014 - 25 million).

Credit risk relating to cash and cash equivalents

In order to mitigate concentration, settlement and operational risks related to cash and cash equivalents, the company limits the maximum cash amount that can be deposited with a single counterparty. In addition, the company maintains an authorised list of acceptable cash counterparties based on current ratings and economic outlook, taking into account analysis of fundamentals and market indicators. The company held cash and cash equivalents of Rs. 28 million at 31 December 2015 (2014 - Rs. 49 million). The cash and cash equivalents are held with banks and financial institutional counterparties, which are rated A+ or better.

29.5 Liquidity risk

Liquidity risk is the risk that the company may not have sufficient liquid financial resources to meet its obligations when they fall due, or would have to incur excessive costs to do so. In respect of catastrophic / unexpected large claim events there is also a liquidity risk associated with the timing differences between gross cash outflows and expected reinsurance recoveries.

The following policies and procedures are in place to mitigate the exposure to liquidity risk:

- The Board Investment Committee (BIC) manages this risk by diversifying investment durations and reviewing cash flow projections regularly.
- Guidelines are set for asset allocations, portfolio limit structures and maturity profiles of assets, in order to ensure availability of sufficient funding to meet insurance and investment contract obligations.
- Reinsurance contracts contain clauses permitting the immediate draw down of funds to meet claim payments should claim events exceed a certain size.

Maturity profiles

The table below summarises the maturity profile of the non- derivative financial assets of the Company based on remaining contractual obligations.

As at 31 December 2015	Carrying Amount Rs '000	Up to a year Rs '000	1-3 years Rs '000	3-5 years Rs '000	5-10 years Rs '000	Total Rs '000
Financial Assets						
Loans & Receivables	891,819	572,234	312,588	26,998	-	891,819
Available for sale	90,251	20,606	69,645	-	-	90,251
Life policyholders loans	25,039	3,378	10,814	8,959	1,888	25,039
Reinsurance receivable	5,747	5,747	-	-	-	5,747
Amounts due from related party	183	183	-	-	-	183
Premiums receivable	57,886	57,886	-	-	-	57,886
Cash and cash equivalents	28,638	28,638	-	-	-	28,638
Total assets	1,099,563	688,672	393,046	35,956	1,888	1,099,563

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2015	Carrying Amount Rs '000	Up to a year Rs '000	1-3 years Rs '000	3-5 years Rs '000	5-10 years Rs '000	Total Rs '000
Financial liabilities						
Reinsurance creditors	18,315	18,315	-	-	-	18,315
Amounts due to related party	120	120	-	-	-	120
Other financial liabilities	45,770	45,770	-	-	-	45,770
Bank overdraft	-	-	-	-	-	-
Total liabilities	64,205	64,205	-	-	-	64,205

As at 31 December 2014	Carrying Amount Rs '000	Up to a year Rs '000	1-3 years Rs '000	3-5 years Rs '000	5-10 years Rs '000	Total Rs '000
Financial Assets						
Loans & Receivables	563,121	393,724	98,191	71,206	-	563,121
Available for sale	279,848	185,095	20,627	74,126	-	279,848
Life policyholders loans	19,698	2,238	13,900	3,560	-	19,698
Reinsurance receivable	5,147	5,147	-	-	-	5,147
Premiums receivable	10,576	10,576	-	-	-	10,576
Cash and cash equivalents	51,098	51,098	-	-	-	51,098
Total assets	929,488	647,878	132,718	148,892	-	929,488

As at 31 December 2014	Carrying Amount Rs '000	Up to a year Rs '000	1-3 years Rs '000	3-5 years Rs '000	5-10 years Rs '000	Total Rs '000
Financial liabilities						
Reinsurance creditors	10,530	10,530	-	-	-	10,530
Amounts due to related party	3,703	3,703	-	-	-	3,703
Other financial liabilities	44,759	44,759	-	-	-	44,759
Bank overdraft	5,457	5,457	-	-	-	5,457
Total liabilities	64,449	64,449	-	-	-	64,449

29.6 Market risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises three types of risks: foreign exchange rates (currency risk), market interest rates (interest rate risk), and market prices (price risk).

- A company market risk policy setting out the assessment and determination of what constitutes market risk for the company. Compliance with the policy is monitored and exposures and breaches are reported to the company investment committee. The policy is reviewed regularly for pertinence and for changes in the risk environment.
- Set asset allocation and portfolio limit structure, to ensure that assets back specific policyholder liabilities and the assets are held to deliver income and gains for policyholders which are in line with expectations of the policyholders.

(a) Currency risk

Currency risk is the risk that the fair value / present value of the future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Company's principal transactions are carried out in Sri Lankan Rupees and its exposure to foreign exchange risk is very minimal.

The Company's financial assets are primarily denominated in the same currencies as its insurance. The company has no significant concentration of currency risk.

(b) Interest rate risk

Interest rate risk is the risk that the value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Floating rate instruments expose the company to cash flow interest risk, whereas fixed interest rate instruments expose the company to fair value interest risk.

Interest on floating rate instruments is re-priced at intervals of less than one year. Interest on fixed interest rate instruments is priced at the inception of the financial instrument and is fixed until maturity.

The analysis that follows is performed for reasonably possible movements in key variables with all other variables held constant, showing the impact on profit before tax (due to changes in fair value of floating rate financial assets) and equity (That reflects adjustments to profit before tax and revaluing Available for sale financial assets)

As part of the Company's investment strategy, in order to reduce both insurance and financial risk, the Company matches its investments to the liabilities arising from insurance by reference to the type of benefits payable to contract holders to the maximum possible extent. However, due to the availability of long term investment opportunities in the country, insurance liabilities (Life Insurance) are of a longer term than corresponding assets.

(c) Equity price risk

Equity price risk is the risk that the fair value / present value of future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in the market.

The Company's equity price risk exposure relates to financial assets and financial liabilities whose values will fluctuate as a result of changes in market prices. The company's price risk policy requires it to manage such risks by setting and monitoring objectives and constraints on investments, diversification plans, limits on investments in each sector and market.

The company has no significant concentration of risk.

NOTES TO THE FINANCIAL STATEMENTS

29.7 Operational risk

Operational risk is the risk of loss arising from system failure, human error, fraud or external events. When controls fail to perform, operational risks can cause damage to reputation, have legal or regulatory implications or can lead to financial losses. The Company cannot expect to eliminate all operational risks, but by initiating a rigorous control framework and by monitoring and responding to potential risks, the Company is able to manage the risks.

Controls to manage the Operational Risk includes effective segregation of duties, access controls, authorisation and reconciliation procedures, staff education and assessment processes, including the use of internal audit. Business risks such as changes in environment, technology and the industry are monitored through the Company's strategic planning and budgeting process.

30. RELATED PARTY TRANSACTIONS

The company carries out transaction in the ordinary course of business with parties who are defined as related party is in Sri Lanka Accounting Standard, LKAS 24 "Related Party Disclosures"

The pricing applicable to such transactions is based on the assessment of risk and pricing model of the Company and is comparable with what is applied to transactions between the Company and its unrelated customers.

This note provides details of AIL's related parties and the transactions which have taken place between the company and its related parties.

(a) Transactions with the ultimate controlling party of the company.

Richard Pieris & Company PLC is the parent/ ultimate controlling party of Arpico Insurance. The Company has transactions with its parent as follows

(i) Insurance contracts transactions with the ultimate controlling party of the company.

Nature of the transaction	2015 Rs.	2014 Rs.
Insurance premium received /receivable	42,798,074	32,917,762
Claim paid	(19,153,770)	(19,866,245)

(ii) Other transactions with the ultimate controlling party of the company.

Nature of the transaction	2015 Rs.	2014 Rs.
Interest received/receivables	8,928,219	11,837,407
Expenses incurred behalf of the company	(46,191,014)	(37,143,056)
Fund transfers	38,820,478	33,111,319

(b) Transactions with key management personnel (KMP) of the company and close family members.

According to Sri Lanka Accounting Standard LKAS 24 "Related Party Disclosures", Key Management Personnel are those having authority and responsibility for planning, directing and controlling the activities of the entity.

Accordingly Arpico Insurance, considers its Board of Directors (Including Executive & Non-Executive Directors) and Board of Directors of Parent (Including Executive & Non-Executive Directors) as the KMP of the company.

	2015 Rs.	2014 Rs.
Short term employee benefits	800,000	320,000

(c) Transaction with / between subsidiary companies of parent company

Nature of the transaction	2015 Rs.	2014 Rs.
Fellow subsidiaries		
Claim paid	(5,592,755)	(9,324,876)
Insurance premium received	17,236,233	10,743,973
Purchase of fixed assets	(2,512,937)	(4,727,746)
Rent paid	(22,653)	(2,800,103)
Investments	124,338,992	64,832,877
Fee, commission and brokerage paid	(1,235,294)	(3,810,168)
Others	(358,908)	(391,536)

31. COMMITMENT AND CONTINGENCIES

There were no capital commitments and contingent liabilities as at the reporting date.

32. EVENTS OCCURRING AFTER THE REPORTING PERIOD

All material post reporting period events have been considered and where appropriate adjustment to or disclosures have been made in the financial statements.





SUPPLEMENTARY INFORMATION



SHAREHOLDER INFORMATION

ARPICO INSURANCE PLC

Share Ledger Management System

Twenty Largest Shareholders

	Name Of The Shareholder	2015 Shareholding	2015 % on Issued Shares	2014 Shareholding	2014 % on Issued Shares
01	Kegalle Plantaion	26,685,001	40.29	26,685,001	40.29
02	Richard Pieris Distributers Limited	17,790,001	26.86	17,790,001	26.86
03	Richard Pieris And Company PLC	15,125,001	22.84	15,125,001	22.84
04	Mr.J.P.Paul	1,023,245	1.55	-	-
05	Mr.S.Senthinandhanan	769,757	1.16	-	-
06	Mr.S.Senthi Maaran	619,894	0.94	764,700	1.15
07	First Capital Markets Limited	535,900	0.81	-	-
08	Mr.H.V.Senaweera	385,870	0.58	368,100	0.58
09	Mr.A.P.Arumugampillai	304,000	0.46	-	-
10	Mr.B.A.R.Dissanayake	200,000	0.3	78,300	0.12
11	Pan Asia Banking Corporation PLC	155,000	0.23	-	-
12	Mr.S.Sivashanth	150,000	0.23	-	-
13	Mrs.S.E.V.E.A.U.Von Stumm	150,000	0.23	-	-
14	Mr.F.N.Herft	125,000	0.19	116,400	0.18
15	Flybrunei Sdn Bhd	100,000	0.15	-	-
16	Seylan Bank PLC	100,000	0.15	-	-
17	Mr.R.L.Wijenayake	90,000	0.14	-	-
18	Assetline Leasing Company Ltd	79,459	0.12	-	-
19	Mr.S.A.Obeysekere	78,300	0.12	78,300	0.12
20	Mr.H.A.S.Madanayake	78,300	0.12	-	-

Composition of Shareholders

Public Shareholdings	2015		2014	
	No.of Shares	% on issued Shares	No.of Shares	% on issued Shares
No Of shares	6,630,400	10.10	6,630,400	10.10
No of Shareholders	560	98.76	493	98.60

Resident and Non- Resident shareholdings

	2015				2014			
	No of Shareholders	%	No of Shares Held	%	No of Shareholders	%	No of Shares Held	%
Resident	557	98.24	64,826,919	97.88	1	0.20	116,400	0.18
Non- resident	10	1.76	1,403,488	2.12	499	99.80	66,114,007	99.82
Grand Total	567	100.00	66,230,407	100.00	500	100	66,230,407	100

	2015				2014			
	No of Shareholding	%	No of Shares Held	%	No of Shareholding	%	No of Shares Held	%
Less than or Equal to 500	283	50%	45,043	0%	139	28%	32,504	0%
501-5,000	191	34%	390,843	1%	258	52%	652,100	1%
5,001-10,000	36	6%	303,234	0%	60	12%	518,300	1%
10,001-50,000	36	6%	887,462	1%	19	4%	468,900	1%
50,001-100,000	7	1%	585,056	1%	11	2%	835,300	1%
100,001-1,000,000	10	2%	3,395,421	5%	10	2%	4,123,300	6%
over 1,000,000	4	1%	60,623,348	92%	3	1%	59,600,003	90%
Grand Total	567	100%	66,230,407	100%	500	100%	66,230,407	100%

Directors' Shareholdings

There is no share holding by the directors as at As at 31 st December 2015

Number of Shares

No. of shares representing the Stated Capital	66,230,407
Class of Share	Ordinary
Voting Rights	One vote per Share

Share Performance

Net Asset Value Per Share as at As at 31 st December 2015	9.85
Highest Price Per Share	15.4
Lowest Price Per Share	13.2
Last traded Price Per Share as at As at 31 st December 2015	14.4

GLOSSARY OF INSURANCE TERMS

Actuarial Valuation

A determination by an actuary at a specific date of the value of a Life Insurance Company's assets and its liabilities. The purpose of a valuation is to determine if the Company holds adequate assets to fund the Company's liabilities.

Claims

The amount payable under a contract of insurance arising from the occurrence of an insured event such as destruction or damage of property and related death or injuries, the insuring of hospital or medical bills, death or disability of the insured and gratuity claims.

Claims Incurred

The aggregate of all claims paid during the accounting period together with attributable claims handling expenses, where appropriate, adjusted by the gross claims reserve at the beginning and end of the accounting period.

Claims Outstanding - Long Term Insurance

The amounts provided to cover the estimated ultimate cost of settling claims arising out of an event which have been notified by the date of Statement of Financial Position, being sums due to beneficiaries together with claims handling expenses, less amounts already paid in respect of those claims.

Commission

Remuneration to an intermediary for services such as selling and servicing an insurer's products. This is one component of acquisition expenses.

Deposit Premium

A premium paid on the inception of a contract of insurance or reinsurance, which is subject to adjustment at a later date. A deposit premium may represent the minimum amount payable.

Endowment

Life insurance payable to the policyholder if Living on the maturity date stated in the policy or to a beneficiary if the insured dies before that date.

Gross Written Premium – Life

Premium to which the insurer is contractually entitled and received in the accounting period.

Insurance

Insurance is a contract whereby one party the insurer, in return for a consideration i.e. the premium, undertakes to pay the other party - the insured, a sum of money or its equivalent in kind, upon the happening of a specified event that is contrary to the interest of the insured.

Insurance Provision - Long Term

The fund or funds to be maintained by an insurer in respect of its Long Term Insurance business in accordance with the Regulation of Insurance Industry Act No. 43 of 2000.

Life Surplus

The excess of the assets over the liabilities as determined by the actuary (taking into account solvency requirements) and after distribution of dividends to policyholders.

Long Term Insurance

Commonly referred to as Life Insurance contracts, as opposed to annual Non-Life insurance policies.

Maturity

The time at which payment of the sum insured under a Life insurance policy falls due at the end of its term.

Net Earned Premium

Gross written premium adjusted for the reinsurance incurred and for the increase or decrease in unearned premium.

Net Written Premium

Gross written premium less reinsurance premium payable.

Net Claims Incurred

Claims incurred less reinsurance recoveries.

Policy Loans

A loan given to the policyholder on the security of the surrender value of a Life Insurance policy. The loan is limited to a percentage of the current surrender value of the policy and interest is charged on such loan.

Premium

The consideration payable by the insured for an insurance contract.

Profit Commission

Commission received from the reinsurer based on the net profit of the reinsurer as defined in the agreement between the insurer and the reinsurer.

Revenue Account

An account which shows a financial summary of the insurance related revenue transactions for the accounting period.

Reinsurance

Transfer of all or part of the risk assumed by an insurer under one or more insurances to another insurer, called the reinsurer.

Reinsurance Commission

Commission received or receivable in respect of premium paid or payable to a reinsurer.

Reinsurance Premium

The premium payable to the reinsurer.

Solvency Margin - Life

The difference between the value of assets and the value of liabilities, required to be maintained by the insurer who carries on Long Term Insurance business as defined in the Regulation of Insurance Industry Act No. 43 of 2000.

Surrender

Termination of an insurance policy by the insured before the expiry of its term (more common in Life insurance).

Surrender Value

The sum payable by an insurance Company upon the surrender of a Life insurance policy before it has run its full course.

Combined Ratio

Sum of the loss ratio and expense ratio.

Fair Value

The price that a reasonable buyer would be willing to pay and a reasonable seller would be willing to accept for a product on the open market.

Available for Sale (AFS)

Securities that have been acquired neither for short-term sale nor to be held to maturity. These are shown at fair value on the statement of financial position and changes in value are taken straight to equity instead of the income statement.

Cash Flow Statement

Statement on the origin and utilisation of cash and cash equivalents during the accounting period. It shows the changes in liquid funds separated into cash flows from operating, investing and financing activities.

Corporate Governance

Serves to ensure responsible management and supervision of enterprises and is intended to foster the trust of investors, clients, employees and the general public in companies.

Earnings per Share

Ratio calculated by dividing the consolidated net income/ (loss) by the weighted average number of shares outstanding.

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the Fourth (04th) Annual General Meeting of Arpico Insurance PLC will be held at the Registered Office, No. 310, High Level Road, Nawinna, Maharagama on Wednesday 29th June 2016 at 10.00 a.m. and the business to be brought before the meeting will be as follows;

1. To consider the Report of the Directors and the Statement of Accounts for the year ended 31st December 2015 with the Report of the Auditors thereon.
2. To approve the appointment of Mr. Saravanapavan Sirikananathan as a Director

Pursuant to Section 211 of the Companies Act No. 07 of 2007, a Notice of the following Ordinary Resolution has been received by the Company, from Richard Pieris Distributors Limited, 310, High Level Road, Nawinna, Maharagama, a shareholder of the Company.

"That Mr. Saravanapavan Sirikananathan of No. 291/7, Edward Avenue, Havelock Road, Colombo 06, who is 71 years of age be and is hereby appointed a Director of the Company in terms of section 211 of the Companies Act No. 07 of 2007, and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act no. 07 of 2007 shall not apply to the said Mr. Saravanapavan Sirikananathan."

The Company has also received a letter dated 16th May 2016 from Mr. Saravanapavan Sirikananathan declaring his willingness to be elected to the Directorate of the Company.

The Directors who considered the contents of the letters received by the Company from Richard Pieris Distributors Limited and Mr. Saravanapavan Sirikananathan decided to notify the Shareholders of the Company of the Special Notice received by the Company and the proposed Resolution, which is to be moved at the Annual General Meeting of the Company for the purpose of considering and if thought fit passing the said Resolution as an Ordinary Resolution.

3. To re-elect Mrs. Lasinee Seresinhe who retires by rotation in terms of Article 31 (1) at the Annual General Meeting, a Director
4. To elect Mr. Shiron Gooneratne who retires at the Annual General Meeting in terms of Article No. 29 (2) of the Articles of Association of the Company be elected as a Director
5. To re-appoint M/s. Ernst & Young, Chartered Accountants as Auditors of the Company and to authorize the Directors to determine their remuneration.

6. To authorize the Directors to determine contributions to charities
7. To consider any other business of which due notice has been given

By Order of the Board



Richard Pieris Group Services (Private) Limited
Secretaries

No. 310, High Level Road, Nawinna, Maharagama

25th May 2016

Note:

- a) A member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend and vote instead of him/her.
- b) A proxy need not be a member of the Company. The form of proxy will be found inserted in the Annual Report

The completed form of proxy should be deposited at the registered office of the Company No. 310, High Level Road, Nawinna, Maharagama, not less than 48 hours before the time appointed for the holding of the meeting.

FORM OF PROXY

I/We* (in block letters) of
 being a member / members of the ARPICO INSURANCE PLC , hereby appoint
 of

whom failing WARNAKULAPATABENDIGE JOSEPH VIVILLE PRAXIDUS PERERA whom failing SARAVANAPAVAN SIRIKANANATHAN whom failing LASINEE SRIYANTHIE AMALA SERASINHE whom failing BODIYABADUGE SHIRON ADRIAN PERERA GOONERATNE * as my/our proxy to represent me/us and to vote on my/our behalf at the 04TH ANNUAL GENERAL MEETING of the Company to be held on 29th June 2016 and any adjournment thereof, and at every poll which may be taken in consequence thereof to vote:-

	In favour	Against
1. To consider the Report of the Directors and the Statement of Accounts for the year ended 31st December 2015 with the Report of the Auditors thereon.	☐	☐
2. To approve under and in terms of Section 211 of the Companies Act No. 07 of 2007, the appointment of Mr. S Sirikananathan at the Annual General Meeting, a Director	☐	☐
3. To re-elect Mrs.Lasinee Seresinhe , who retires by rotation in terms of Article 31 (1) at the Annual General Meeting, a Director	☐	☐
4. To elect Mr. Shiron Gooneratne , who retires in terms of Article 29 (2) at the Annual General Meeting, a Director	☐	☐
5. To re-appoint M/s Ernst & Young, Chartered Accountants as Auditors of the Company and to authorise the Directors to determine their remuneration.	☐	☐
6. To authorize the Directors to determine contributions to charities	☐	☐
7. To consider any other business of which due notice has been given	☐	☐

Dated this day of 2016

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Signature of shareholder

Notes:

- (i) Please delete the inappropriate words
- (ii) A proxy need not be a member of the Company.
- (iii) Instruction as to completion appear on the reverse of this form.

INSTRUCTIONS AS TO COMPLETION OF PROXY FORM

To be valid, this Form of Proxy must be deposited at the Registered Office of the Company No. 310, High Level Road, Nawinna, Maharagama., not later than 10.00 a.m. on Monday, 27th June 2016.

In perfecting the Form of Proxy, please ensure that all details are legible.

In the case of a Company/Corporation, the proxy must be under its Common Seal, which should be affixed and attested in the manner prescribed by its Articles of Association.

Please indicate with an 'X' in the space provided how your proxy is to vote on each resolution. If no indication is given the proxy at his/her discretion will vote as he/she thinks fit.

This Form of Proxy shall in the case of an individual be signed by the appointor or his/her Attorney. Where the Form of Proxy is signed under a Power of Attorney, which has not been registered with the Company, the original Power of Attorney together with a photocopy of same or a copy certified by a Notary Public must be lodged with the Company, along with the Form of Proxy.

CORPORATE INFORMATION

The Company

Arpico Insurance PLC

Legal Form of the Company

A limited liability company incorporated in Sri Lanka on 22nd June 2011, as a public limited liability company under the Companies Act No. 7 of 2007

Company Registration No.

P B 4739 P Q

Stock Exchange Listing

The shares of the Company are Listed on the Colombo stock exchange, Diri Savi Board

Place of Incorporation

Colombo, Sri Lanka

Accounting Year-end

December 31

Tax Payer Identification Number (TIN)

1340473990000

Registered Office

Arpico Insurance PLC
310, High Level Road, Nawinna, Maharagama.
Tel : 011 4 310 500
Fax : 011 4 310 777

Corporate Office

Arpico Insurance PLC
55/20, Vauxhall Lane, Colombo 02.
Tel : 011 5 900 900
Fax: 011 2 330 713

Board of Directors of AINS

Mr. Viville Perera
Mr. Jagath Dissanayake (Resigned w.e.f 15 February 2016)
Mr. S. Sirikananathan
Mrs. Lasinee Serasinhe

Secretaries of the Company

Richard Pieris Group Services (Pvt) Limited
310, High Level Road, Nawinna,
Maharagama.
Tel : 011 4 310 500
Fax: 011 4 310 777

Auditors to the Company

Ernst & Young
Chartered Accountants
201, De Seram Place, Colombo 10.
Tel : 011 2 463 500
Fax: 011 2 697 369

Consultant Actuary

Mr. Poopalanathan.
Actuarial and Management
Consultants (Pvt) Ltd.

Bankers to the Company

National Development Bank PLC
40, Navam Mawatha, Colombo 02.
Tel : 011 2 448 448
Fax: 011 2 341 044

Commercial Bank of Ceylon PLC
Commercial House, 21,
Sir Razik Fareed Mawatha,
Colombo 01.
Tel : 011 2 430 420
Fax: 011 2 336 706

Arpico Insurance PLC
No: 55/20, Vauxhall Lane, Colombo 02.
Tel: 00 94 11 5900 900 Fax: 00 94 11 2330713
Email: info@arpicoinsurance.com
www.arpicoinsurance.com